



Pharmaceutical Antitrust Cases

Australia • Denmark • European Union • France
India • Israel • Japan • Netherlands • South Korea
Spain • Taiwan • United Kingdom

Appendix:

Canada • Germany • New Zealand • Norway
Singapore • Switzerland • Sweden

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Comparative Summary

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This report examines antitrust enforcement cases concerning the pharmaceutical sector in selected foreign jurisdictions since 2010 that resulted in fines or other sanctions. It summarizes cases in **Australia, Denmark, the European Union, France, India, Israel, Japan, the Netherlands, South Korea, Spain, Taiwan, and the United Kingdom.**

An appendix to this report identifies other countries we researched to locate pharmaceutical antitrust cases since 2010 that involved fines or other sanctions, but where no such cases were found, namely **Canada, Germany, New Zealand, Norway, Singapore, Switzerland, and Sweden.** The appendix provides information regarding antitrust regulation and enforcement in these countries.

In **Australia**, one case is currently in progress regarding cartel-like behavior, specifically, that a company fixed prices, rigged bidding prices, and restricted supply of a pharmaceutical ingredient used to manufacture generic drugs. The company has pleaded guilty and is awaiting sentencing.

Six **EU** cases have been reported for abuse of dominant market positions, “pay-for-delay” patent settlement agreements hindering entry of generic drugs into the market, and excessive pricing schemes.

In **Spain**, Merck Sharp & Dohme was fined more than 38.9 million euros for abuse of its dominant position regarding actions taken to prevent another company from marketing a product similar to the Nuvaring contraceptive.

In **France**, four cases are identified, most notably in 2020 against Novartis Group and Roche Group, where they were found to have provided misleading and alarmist information regarding the safety of Avastin, a cheaper product for treating age-related macular degeneration, in favor of their more expensive drug, Lucentis. The companies were fined a combined 444.8 million euros (US\$455,926,672).

In the **Netherlands**, one case is noted, involving a price gouging practice with respect to a drug used for a rare disease.

In **Denmark**, while no instances were found where pharmaceutical companies were fined for violations of competition rules, cases were found in which companies were ordered to cease non-competitive actions, including one on misuse of dominant market position to raise prices and another on improper coordination to limit competition.

In **Israel**, Sanofi, a French pharmaceutical company, was determined to have deliberately misled a patent registrar, which led to the extension of its patent litigation against Israeli company

Unipharm. This created a de facto monopoly in the market for their Plavix drug for over fifteen months. Sanofi was ultimately fined 2.6 million shekels (US\$748,566).

India has had a large number of pharmaceutical antitrust cases, with the competition authority pursuing pharmaceutical associations and companies for abuse of dominant position, limiting the supply of drugs, and other anti-competitive/collusive practices.

In **Japan** two companies were sanctioned under the Anti-Monopoly Act for unreasonable restraint of trade and price fixing, though the sanctions were a relatively modest 1.37 million yen (US\$9,818) and 2.87 million yen (US\$20,569), respectively.

In the **United Kingdom** two cases were found, one involving the anticompetitive exchange of sensitive information to prevent a price drop, and the other for a pay-for-delay patent settlement agreement.

In **South Korea**, Alvogen and AstraZeneca were found to have acted in an anti-competitive manner by signing an agreement preventing Alvogen from producing generic versions of AstraZeneca pharmaceuticals. The Korea Fair Trade Commission (KFTC) issued a correction order and a future prohibition order and imposed fine of 1.499 billion South Korean won (KRW) (about US\$1.098 million) on Alvogen and KRW1.146 billion (about US\$840,000) on AstraZeneca in October 2022. A similar case involving a non-compete clause with a generic pharmaceutical manufacturer was also found to be anti-competitive, and the KFTC levied a KRW5.173 billion (about US\$3.852 million) fine against the companies.

Two **Taiwan** cases were located that were tried and upheld in court, one involving resale price maintenance and another concerning inducing sales of a drug through anticompetitive pricing.

Australia

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I. Introduction

In Australia, the Australian Competition and Consumer Commission (ACCC), an independent statutory authority in the federal government, enforces the Competition and Consumer Act 2010 (Cth)¹ and other legislation related to promoting competition and fair trading.² Lawyers from an Australian firm, writing in October 2022, stated,

[u]nlike digital platforms to which the ACCC has dedicated significant resources, the life sciences sector is not currently identified as a priority area for ACCC enforcement. However, there have been some important regulatory developments affecting the life sciences sector and the ACCC has also taken some significant cases against companies in this sector in recent years.³

One of the cases, against Pfizer Australia Pty Ltd for misuse of market power, was unsuccessful in court,⁴ and therefore, it is not included in this report. Another case involved companies supplying services for the collection and storage of cord blood,⁵ rather than pharmaceutical companies. One major competition-related case involving a pharmaceutical company was identified, and it is discussed below.

II. Prosecution of Alkaloids of Australia Pty Ltd for Cartel Conduct

A law firm in Australia reports the following:

On 1 December 2020, the Commonwealth Director of Public Prosecutions (CDPP) filed criminal charges against Alkaloids of Australia Pty Ltd (Alkaloids of Australia) and its former export manager, Christopher Kenneth Joyce, for cartel conduct relating to the supply of active pharmaceutical ingredient scopolamine N-butylbromide (SNBB) in contravention of the Competition and Consumer Act 2010 (CCA), following a criminal investigation by the ACCC. (R v. Alkaloids of Australia Pty Limited, case number 2020/00347778, and R v. Christopher Kenneth Joyce, case number 2020/00347777

¹ Competition and Consumer Act 2010 (Cth), <https://perma.cc/W38D-WHCA>.

² *About the ACCC*, Australian Competition and Consumer Commission (ACCC), <https://perma.cc/82LT-RPH8>.

³ Elizabeth Avery & Susan Jones, *Australia: ACCC's Focus on Conduct Could Have Far-Reaching Implications*, Global Competition Review (Oct. 21, 2022), <https://perma.cc/MF4Y-WZ9Z>.

⁴ *Id.*; *ACCC v Pfizer Australia Pty Ltd*, Australian Competition Law, <https://perma.cc/HF34-HE74>; *Australian Competition and Consumer Commission v Pfizer Australia Pty Ltd* [2015] FCA 113 (Feb. 26, 2015), <https://perma.cc/SN9J-5ZH5>; *Australian Competition and Consumer Commission v Pfizer Australia Pty Ltd* [2018] FCAFC 78 (May 25, 2018), <https://perma.cc/DMC8-7XRU>.

⁵ See Avery & Jones, *supra* note 3.

(Downing Centre Local Court, Sydney, NSW). Section 45AD of the CCA sets out the requirements for a cartel provision. Section 45AF makes it a criminal offence to enter into a contract, arrangement or understanding that contains a cartel provision. Section 45AG makes it a criminal offence to give effect to a cartel provision.)

Alkaloids of Australia and Mr Joyce were both originally charged with 33 criminal cartel offences spanning a period of almost 10 years from 24 July 2009, relating to allegations that Alkaloids of Australia and other overseas suppliers of SNBB made and gave effect to arrangements to fix prices, restrict supply, allocate customers or geographical markets, or both, or rig bids for the supply of SNBB to manufacturers of generic antispasmodic medications.

On 26 October 2021, Mr Joyce pleaded guilty to three charges and admitted guilt in respect of a further seven offences involving criminal cartel conduct. Three weeks later, on 16 November 2021, Alkaloids of Australia also pleaded guilty to three charges and admitted a further seven offences. Mr Joyce and Alkaloids of Australia have been committed to the Federal Court of Australia for sentencing. While all 66 sequences on the initial charge sheets were withdrawn, the remaining charges involved (a) for Alkaloids of Australia, intentionally making and attempting to enter into contracts, arrangements or understandings containing cartel provisions, and giving effect to cartel provisions, involving fixing the sale price of SNBB, fixing bid prices for the supply of SNBB and restricting the supply of SNBB; and (b) for Mr Joyce, aiding, abetting or procuring Alkaloids of Australia's contraventions of the cartel provisions, intentionally attempting to make contracts or arrive at understandings containing cartel provisions or inducing others to do so, and being knowingly concerned in giving effect to cartel provisions. The Alkaloids of Australia case is the fourth criminal cartel case brought by the ACCC that has been resolved by guilty pleas, and the first in which a guilty plea has been entered by an individual in addition to a corporate defendant.⁶

The ACCC notes that

[f]or corporations, the maximum fine for each criminal cartel offence is the greater of:

- \$10 million [about US\$6.8 million],
- three times the total benefits that have been obtained and are reasonably attributable to the commission of the offence, or
- if the total value of the benefits cannot be determined, 10 per cent of the corporation's annual turnover connected with Australia.

An individual convicted of a criminal cartel offence may be sentenced to up to 10 years' imprisonment or fined up to \$444,000 [about US\$300,800], or both.⁷

⁶ *Pharmaceuticals & Medical Products: GCR Competition Law Developments in APAC*, Gilbert & Tobin (Mar. 30, 2022), <https://perma.cc/UA5K-FJSD>. See also Press Release, ACCC, Pharmaceutical Ingredient Company Pleads Guilty to Criminal Cartel Charges (Nov. 16, 2021), <https://perma.cc/ZA4D-5Y26>.

⁷ Press Release, *supra* note 6.

According to the *Australian Competition Law* website, a sentencing hearing was scheduled in the Federal Court of Australia for November 2022.⁸ Another report, dated November 7, 2022, stated that the court was told that Mr. Joyce had been assessed as suitable to undertake community service work as a sentence.⁹

⁸ *CDPP v Alkaloids of Australia*, Australian Competition Law, <https://perma.cc/E8Q2-PP8N>. See also Applications for File: Commonwealth Director of Public Prosecutions v Christopher Kenneth Joyce, Commonwealth Courts Portal, <https://perma.cc/SQ7C-JAV4>; List of Orders: Commonwealth Director of Public Prosecutions v Christopher Kenneth Joyce, Commonwealth Courts Portal, <https://perma.cc/877S-GUQF>.

⁹ Laurel Henning, *Former Alkaloids of Australia Manager ‘Suitable’ for Community Service Over Cartel Conduct*, *Court Hears*, MLex (Nov. 7, 2022), <https://perma.cc/DHF8-SYN7>.

Denmark

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I. Introduction

As member of the European Union, Denmark is bound by European Union (EU) competition law.¹ Specifically, the Treaty on the Functioning of the European Union (TFEU) and Council Regulation (EC) No 1/2003 of 16 December 2002 on the implementation of the rules on competition laid down in Articles 81 and 82 of the Treaty.² EU competition law is transposed into the Danish Competition Act.³

Enforcement of competition law violations in Denmark is carried out both by the European Commission, the Danish Competition and Consumer Authority (through the Competition Council and the Competition Appeals Council), and domestic courts.⁴

II. Cases

We have not found instances where the Danish Competition and Consumer Authority has fined pharmaceutical companies for violations of competition rules related to cartel, monopoly, or undue influence rules during the period between 2010 and November 14, 2022.⁵

However, the Danish Competition and Consumer Authority has ordered pharmaceutical companies to cease non-competitive actions that violate EU competition law rules and successfully defended such orders in Danish courts.

A. CD Pharma (2020)

On January 31, 2018, the Danish Competition Council found that Swedish pharmaceutical distributor CD Pharma AB had misused its dominant position in violation of TFEU article 102 (and § 11 of the Danish Competition Act), when it increased the price of Syntocinon (injection

¹ § 5b 3 Konkurrenceloven (LBK nr 360 af 04/03/2021), <https://perma.cc/LKT8-QHUQ>.

² TFEU, articles 101-109, 2012 O.J. (C 326) 47, <https://perma.cc/U4KE-D9RE> (consolidated); Council Regulation (EC) No 1/2003 of 16 December 2002 on the implementation of the rules on competition laid down in Articles 81 and 82 of the Treaty, 2003 O.J. (L 1) 1, <https://perma.cc/7X77-HYY9>.

³ See Konkurrenceloven (LBK nr 360 af 04/03/2021).

⁴ Id. § 10a, 11; Council Regulation (EC) No. 1/2003, arts. 4, 5, 6. The Danish Competition Authority publishes and makes its decisions searchable on its website at <https://www.kfst.dk/konkurrenceforhold/afgoerelser/straffedomme-og-bodevedtagelser/> (in Danish). The European Commission makes its decisions available and searchable online at https://ec.europa.eu/competition/elojade/isef/index.cfm?clear=1&policy_area_id=1%2C2%2C3. For more on decisions by the European Commission, see Jenny Gesley, European Union.

⁵ For more on the calculation of fines under Danish law, see Danish Competition and Consumer Authority, *Penalties for Infringing the Danish Competition Act* <https://perma.cc/C5TQ-U4KG>.

substance 10IE/ml) from Danish Kroner (DKK) 45 to DK 945 (from about US\$6.28 to about US\$132.06) between April 28, 2014, and October 26, 2014. This was an increase in price of more than 2,000%.⁶ In addition, the price was also substantially (between 100% to 8,400%) higher in Denmark than in other countries where CD Pharma AB was distributing the Syntocinon drug. On November 29, 2018, the Competition Appeals Council affirmed the Competition Council's decision.⁷ On appeal, the Danish Maritime and Commercial Court affirmed the previous decision, holding that CD Pharma had violated TFEU article 102 and § 11 of the Danish Competition Act.⁸ Following the court decision, the case has been referred to the Danish State Prosecutor for Serious Economic and International Crime for further adjudication.

B. Nomeco and Tjllesen Max Jenne (2014)

On November 26, 2014, the Competition Council (Konkurrencerådet) ordered Denmark's two largest pharmaceutical wholesalers, Nomeco A/S and Tjllesen Max Jenne A/S, to stop coordinating fees and other business conditions in violation of TFEU article 101 and § 6 of the Danish Competition Act.⁹ It appears a monetary fine has not been levied.¹⁰ According to the Competition Council, the two companies limited competition by creating a joint fee scheme for returns and crediting of medicines for all suppliers on the Danish market.¹¹

C. A-Apoteket (2013)

In 2011, A-Apoteket, a Danish chain of apothecaries, excluded Uldum Apotek from becoming a member of A-Apoteket because Uldum Apotek was collaborating with retailer Matas in providing prescription medication. The Danish Competition Council notified A-Apoteket that this behavior violated competition law (§ 6 of the Danish Competition Act), upon which A-Apoteket responded that it would allow Uldum Apotek to make purchases from A-Apoteket using the same terms as A-Apoteket's own members.¹² On June 26, 2013, the Danish Competition Council made the aforementioned commitment by A-Apoteket legally binding upon the company.¹³ It appears no fine was levied.

⁶ Konkurrence- og Forbrugerstyrelsen, Konkurrencerådets Afgørelse CD Pharmas Prissætning af Syntocinon (Jan. 31, 2018), <https://perma.cc/RH7H-FCVB>.

⁷ Konkurrence- og Forbrugerstyrelsen, Kendelse afsagt af Konkurrenceankenævnet, Case No. KL-2-2018 CD Pharma AB v. Konkurrencerådet (Nov. 29, 2018), <https://perma.cc/6VAQ-YCDD>.

⁸ Sø- og Handelsretten [Maritime and Commercial Court], Dom Sag BS-3038/2019-SHR, CD Pharma AB v. Konkurrencerådet (Mar. 2, 2020), <https://perma.cc/5S9Z-JZWL>.

⁹ Konkurrence- og Forbrugerstyrelsen, Rådsmøde (Council Meeting) Decision no. 12/07423, LTA/MEF NOMEKO og Tjllesen Max Jennes, Koordinering af gebyrer og andre forretningsbetingelser (Nov. 26, 2014), <https://perma.cc/GD68-X7NB>.

¹⁰ Id.

¹¹ Id. at 91.

¹² See Konkurrence- og Forbrugerstyrelsen, Konkurrencebegrænsende Vedtagelse i A-Apoteket, <https://perma.cc/F46D-6CXE>.

¹³ Konkurrence- og Forbrugerstyrelsen, Decision No. 12/05103 – Konkurrencebegrænsende Vedtagelse i A-Apoteket, <https://perma.cc/6JM8-JNCV>. See also Konkurrence- og Forbrugerstyrelsen, Konkurrencebegrænsende Vedtagelse i A-Apoteket, <https://perma.cc/F46D-6CXE>.

European Union

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I. Introduction

In the European Union (EU), competition law is mainly regulated in articles 101 to 106 of the Treaty on the Functioning of the European Union (TFEU) and equivalent rules in articles 53, 54, 57, and 59 of the Agreement on the European Economic Area (EEA Agreement).¹ Antitrust rules in particular are contained in articles 101 and 102 of the TFEU. Article 101 prohibits anti-competitive agreements, such as price fixing agreements. Article 102 prohibits abuses of dominant market positions. Various regulations have been adopted to specify the rules contained in the TFEU.² Competition law is an exclusive competence of the EU, meaning that only the EU is able to legislate and adopt binding acts necessary for the functioning of the EU's internal market.³ However, both the European Commission (Commission) and the national competition authorities (NCAs) of the EU Member States are authorized to enforce the EU competition law rules.⁴ In addition, Member States are obligated to forward a copy of any written national court judgment on the application of EU competition law to the Commission.⁵ National competition law rules apply to anti-competitive conduct that does not affect cross-border trade in the EU.

In January 2019, the Commission published a report on competition law enforcement in the pharmaceutical sector for the years 2009-2017.⁶ The report stated that during the timeframe in question, the Commission and 13 NCAs adopted a total of 29 decisions imposing sanctions or accepting binding commitments for infringements of EU competition law in pharmaceutical antitrust cases.⁷ The Commission published a list of the 29 cases with the name of the competition authority, date of the decision, and links to public information alongside the report.⁸ This report will only address the decisions that were adopted by the European Commission and not the ones

¹ Consolidated Version of the Treaty on the Functioning of the European Union (TFEU), 2016 O.J. (C 202) 1, arts. 101-106, <https://perma.cc/FBA8-VBX5>; Consolidated Agreement on the European Economic Area (EEA Agreement), 1994 O.J. (L 1) 3, <https://perma.cc/JN4M-2GZM>.

² See, in particular, Consolidated Version of Regulation (EC) No. 1/2003, 2003 O.J. (L 1) 1, <https://perma.cc/59KD-B26B>.

³ TFEU, art. 2, para. 1, art. 3, para. 1.

⁴ Regulation (EC) No. 1/2003, arts. 4, 5.

⁵ Id. art. 15, para. 2.

⁶ European Commission, *Report from the Commission to the Council and the European Parliament, Competition Enforcement in the Pharmaceutical Sector (2009-2017)*, COM (2019) 17 final (Jan. 28, 2019), <https://perma.cc/Q5F9-MCQW>.

⁷ Id. at 9.

⁸ European Commission, *List of Antitrust Enforcement Decisions in the Pharmaceutical Sector Referred to in the Commission's Report to the Council and the European Parliament on Competition Enforcement in the Pharmaceutical Sector (2009-2017)*, <https://perma.cc/7MNT-SDZN>.

by NCAs enforcing EU competition law as these are discussed in individual country reports. In addition, the European Commission provides a summary of cases and judgments for pharmaceuticals and health services on its website.⁹ Lastly, competition law case materials and decisions from the Commission are available in a searchable case database.¹⁰

II. Cases

The following is a list of six pharmaceutical antitrust cases from the European Commission for the years 2010 until today that have resulted in sanctions or the adoption of binding commitments.

A. Case COMP/AT.37507 – Generics/AstraZeneca

In 2012, the Court of Justice of the European Union (CJEU) dismissed an appeal brought by the pharmaceutical company AstraZeneca against a 2010 judgment by the General Court, which had mostly upheld a European Commission decision from 2005 to fine AstraZeneca 60 million euros (about US\$72.4 million at the time) for abusing its dominant market position with regard to its ulcer drug Losec.¹¹ The case started on February 9, 2000, when the European Commission initiated an investigation against AstraZeneca Plc and AstraZeneca AB, a wholly owned subsidiary of AstraZeneca Plc.¹² On June 15, 2005, the Commission published its decision, holding that AstraZeneca abused the patent system and the system for authorization of medicines to block or delay market entry for generic competitors to its drug, Losec, in violation of article 102 of the TFEU (former article 82).¹³ It fined AstraZeneca AB and AstraZeneca Plc, jointly and severally, 46 million euros, and AstraZeneca AB 14 million euros (a total of 60 million euros).¹⁴ The General Court on appeal upheld the classification of the abuses of a dominant position at issue as serious infringements, but lowered the fine from 60 million to 52.5 million euros (about US\$64.3 million at the time).¹⁵ The appeal by AstraZeneca to the CJEU was dismissed in its entirety.¹⁶

⁹ *Cases & Judgments (Pharmaceuticals & Health Services)*, European Commission, <https://perma.cc/YVY3-5AH6>.

¹⁰ *Competition Policy. Search Competition Cases (All Policy Areas)*, European Commission, <https://perma.cc/5NUJ-P9RS>.

¹¹ CJEU, Case C-457/10 P, *AstraZeneca v. Commission*, ECLI:EU:C:2012:770, <https://perma.cc/3B3Z-Z2FH>; General Court, Case T-321/05, *AstraZeneca v. Commission*, ECLI:EU:T:2010:266, <https://perma.cc/7EJS-YEWR>; European Commission, Case COMP/AT.37507 – Generics/AstraZeneca, June 15, 2005, <https://perma.cc/K5EZ-D645>.

¹² Case COMP/AT.37507 – Generics/AstraZeneca, paras. 8, 10.

¹³ Case COMP/AT.37507 – Generics/AstraZeneca, paras. 773, 860.

¹⁴ *Id.* para. 924.

¹⁵ Case T-321/05, *AstraZeneca v. Commission*, para. 913.

¹⁶ Case C-457/10 P, *AstraZeneca v. Commission*.

B. Case COMP/AT.39226 – Lundbeck

In January 2010, the European Commission opened an investigation into “pay-for-delay” agreements that the Danish pharmaceutical company, Lundbeck Limited, had concluded with several of its generics competitors, namely Merck (Merck KGaA/Generics UK Limited), Arrow (Arrow Group ApS/ Arrow Generics Limited/ Resolution Chemicals Limited), Alpharma (Zoetis Products LLC/Xellia Pharmaceuticals ApS/A.L. Industrier AS), and Ranbaxy (Ranbaxy Laboratories Limited/ Ranbaxy (UK) Limited).¹⁷ After its patent for the drug citalopram, an anti-depressant, expired, Lundbeck paid its generics competitors for their promise to stay out of the citalopram market during the years 2002 and 2003.¹⁸ On June 19, 2013, the Commission decided that the agreements harmed patients and health care systems by allowing Lundbeck to keep the price of its drug artificially high, in breach of article 101 of the TFEU.¹⁹ It fined Lundbeck 93.8 million euros (about US\$125.7 million at the time) and fined the generics competitors a total of 52.2 million euros (about US\$70 million at the time).²⁰ The European Commission’s decision was upheld by the General Court on September 8, 2016.²¹ Lundbeck’s further appeal to the CJEU was dismissed on March 25, 2021.²²

C. Case COMP/AT.39685 – Fentanyl

In October 2011, the European Commission started proceedings against the U.S.-based company Johnson & Johnson (J&J) and the Swiss-based Novartis AG (Novartis) and their respective subsidiaries in the Netherlands, Janssen-Cilag B.V. (Janssen-Cilag) and Sandoz B.V (Sandoz), for concluding an anticompetitive “pay-for-delay” agreement with regard to the pain-killer fentanyl.²³ On December 10, 2013, it issued its decision in the case.²⁴ The Commission found that in 2005, J&J’s protection on the fentanyl depot patch had expired in the Netherlands.²⁵ In order to stop Novartis’ Dutch subsidiary, Sandoz, from launching a generic fentanyl depot patch, Janssen-Cilag, J&J’s Dutch subsidiary, concluded a “co-promotion agreement” with Sandoz.²⁶ The agreement provided strong incentives for Sandoz not to enter the market, which delayed the entry of a cheaper generic medicine for seventeen months and kept prices for fentanyl in the

¹⁷ European Commission, Opening of Proceedings, Jan. 7, 2010, <https://perma.cc/QWH7-DKRP>.

¹⁸ European Commission, Case AT.39226 - Lundbeck, June 19, 2013, paras. 1-6, <https://perma.cc/J4Q5-B4GU>.

¹⁹ European Commission, Case AT.39226 - Lundbeck, June 19, 2013, <https://perma.cc/J4Q5-B4GU>.

²⁰ Id. para. 1396; European Commission Press Release, Antitrust: Commission Fines Lundbeck and Other Pharma Companies for Delaying Market Entry of Generic Medicines (June 19, 2013), <https://perma.cc/E7XT-EX2L>.

²¹ General Court, Case T-472/13, Lundbeck v. Commission, ECLI:EU:T:2016:449, <https://perma.cc/KP6Y-9D2D>.

²² CJEU, Case C-591/16 P, Lundbeck v. Commission, ECLI:EU:C:2021:243 1, <https://perma.cc/8FHD-LJP6>.

²³ European Commission, Opening of Proceedings, Oct. 18, 2011, <https://perma.cc/H6NN-DPYT>.

²⁴ European Commission, Case AT.39685 - Fentanyl, Dec. 10, 2013, <https://perma.cc/UQK4-N8KB>.

²⁵ Id. para. 82.

²⁶ Id. para. 94.

Netherlands artificially high.²⁷ The agreement was anticompetitive and infringed article 101 of the TFEU.²⁸ The Commission fined J&J and Janssen-Cilag jointly and severally 10.8 million euros (about US\$ 14.8 million at the time) and Novartis and Sandoz jointly and severally 5.5 million euros (about US\$ 7.5 million at the time), for a total fine of 16.3 million euros (about US\$22.35 million).²⁹

D. Case COMP/AT.39612 – Servier

On July 2, 2009, the Commission initiated antitrust proceedings against the pharmaceutical company Servier and five generic companies for concluding “pay-for-delay” patent settlement agreements and thereby hindering the generic entry of the drug perindopril on the EEA markets.³⁰ On July 9, 2014, the Commission published its decision in the case.³¹ It found that the French pharmaceutical company Servier S.A.S., the parent company of the Servier Group, (Servier) and five producers of generic medicines, namely Unichem Laboratories Limited and Niche Generics Limited (Niche/Unichem), Matrix Laboratories Limited (now part of Mylan Laboratories Limited) (Matrix), Teva UK Limited, Teva Pharmaceuticals Europe B.V., and Teva Pharmaceutical Industries Ltd (Teva), Krka, tovarna zdravil, d.d., Novo mesto (Krka), and Lupin Limited (Lupin), had concluded a series of deals aimed at protecting Servier’s blood pressure medicine, perindopril, from price competition by generics in the EU. The generic companies agreed to abstain from competing in exchange for a share of Servier’s rent at least five times between 2005 and 2007. These agreements violated articles 101 and 102 of the TFEU. The Commission imposed a total fine of 427.7 million euros (about US\$581.8 million at the time), divided into 331 million euros for Servier, 13.97 million euros for Niche/Unichem, 17.16 million euros for Matrix, 15.57 million euros for Teva, 10 million euros for Krka, and 40 million euros for Lupin.³²

On December 12, 2018, the General Court annulled part of the Commission’s decision, but confirmed that the agreements between Servier and the generic companies constituted restrictions of competition by object under article 101 of the TFEU.³³ However, it reduced the fine imposed on Servier in respect of the agreement concluded with Matrix by 30% and annulled the fine imposed on Servier on the basis of article 102 TFEU, thereby reducing the total fine for Servier to 228.32 million euros (about US\$259.18 million at the time).³⁴ It completely annulled the fines imposed on Servier and Krka in respect of that agreement.³⁵ In February 2019, Servier further

²⁷ Id. paras. 360-366.

²⁸ Id. paras. 366, 460, 526; at 146, art. 1.

²⁹ Id. at 146, art. 2.

³⁰ European Commission, Opening of Proceedings, July 2, 2009, <https://perma.cc/XL87-AQMX>.

³¹ European Commission, C(2014) 4955 final (July 9, 2014), <https://perma.cc/9FNV-BDYE>.

³² Id. at 805 & 808, art. 7.

³³ General Court, Case T-691/14, *Servier v. Commission*, ECLI:EU:T:2018:922, para. 1959, <https://perma.cc/8C2C-SEJ8>.

³⁴ Id. paras. 1961, 1963.

³⁵ Id. para. 1960.

appealed the decision of the General Court to the CJEU.³⁶ The appeal is still pending. The Advocate General delivered his opinion on July 14, 2022.³⁷ He recommended annulling part of the judgment and dismissing the remainder of the appeal, in particular annulling the fine imposed on Servier in respect of the Lupin agreement.³⁸

E. Case AT.39686 Cephalon

On April 19, 2011, the Commission opened proceedings against the U.S.-based pharmaceutical company Cephalon, Inc. (Cephalon) and the Israel-based generic drugs firm Teva Pharmaceutical Industries Ltd. (Teva) for hindering the entry of generic Modafinil, a medicine used for treating sleeping disorders, in the EEA in breach of article 101 of the TFEU and article 53 of the EEA Agreement.³⁹ On November 26, 2020, the Commission issued its prohibition decision.⁴⁰ It found that in December 2005, as part of a settlement in patent infringement disputes in the United Kingdom and the United States, Teva had agreed not to sell its generic Modafinil products in the EEA markets before October 2012 in exchange for cash payments and a package of commercial side-deals and not to challenge Cephalon's secondary patents (pay-for-delay agreement).⁴¹ The Commission held that this agreement violated article 101 of the TFEU and article 53 of the EEA Agreement.⁴² It fined the two companies a total of 60.48 million euros (about US\$ 72 million at the time), divided up into 30.48 million euros for Cephalon and 30 million euros for Teva.⁴³

F. Case AT.40394 Aspen

On May 15, 2017, the Commission opened an investigation against the South African pharmaceutical company Aspen Pharmacare Holdings Limited (Aspen Pharma) and its subsidiaries, including Aspen Pharma Ireland Limited, for excessive pricing of six off-patent cancer medicines in violation of article 102 of the TFEU and article 54(a) of the EEA Agreement (abuse of a dominant market position).⁴⁴ The products in question were prescription medicines sold under the brand names Alkeran IV and Alkeran Oral (melphalan), Purinethol (mercaptopurine), Leukeran (chlorambucil), Lanvis (tioguanine), and Myleran (busulfan).⁴⁵ From 2012 until 2019, Aspen Pharma increased its prices, often by several hundred percent, in all

³⁶ CJEU, Case C-201/19 P, Servier and Others v. Commission, Application, <https://perma.cc/8XX7-NELW>.

³⁷ Opinion of Advocate General Kokott, Case C-201/19 P, Servier v. Commission, July 14, 2022, <https://perma.cc/Z2FB-QH45>.

³⁸ Id. paras. 292, 303.

³⁹ European Commission, Opening of Proceedings, Apr. 19, 2011, <https://perma.cc/5QCS-2996>.

⁴⁰ European Commission, Case AT.39686 - Cephalon, C(2020) 8153 final (Nov. 26, 2020), <https://perma.cc/R28V-GPJ7>.

⁴¹ Id. paras. 1, 2.

⁴² Id. para. 3.

⁴³ Id. paras. 1382, 1399; at 378, art. 2.

⁴⁴ European Commission, Opening of Proceedings, May 15, 2017, <https://perma.cc/4AVP-CRDR>.

⁴⁵ European Commission, Case AT.40394 - Aspen, C(2021) 724 final (Feb. 10, 2021), para. 12, <https://perma.cc/PGT2-CS4C>.

countries in Europe where it sold the medicines.⁴⁶ On July 9, 2020, Aspen Pharma submitted proposed commitments to the Commission to remedy the alleged violation of competition law, with revisions submitted on January 28, 2021.⁴⁷ On February 10, 2021, the Commission issued its final commitments decision in the case, thereby making the commitments offered by Aspen Pharma binding.⁴⁸ Aspen Pharma agreed to

- reduce its prices across Europe for the six cancer medicines by, on average, approximately 73%;
- charge the reduced prices for the coming 10 years; and
- guarantee the supply of the medicines for the next five years, and, for an additional five-year period, either continue to supply or make its marketing authorization available to other suppliers.⁴⁹

The commitments will remain in force for ten years and compliance will be monitored by a trustee.⁵⁰

⁴⁶ Id. para. 2.

⁴⁷ Id. paras. 7, 10.

⁴⁸ Case AT.40394 – Aspen, C(2021) 724 final; Council Regulation (EC) No 1/2003, art.9, para. 1.

⁴⁹ Case AT.40394 – Aspen, C(2021) 724 final, paras. 210-212; at 45, art. 1 in conjunction with annex 3.

⁵⁰ Id. paras. 246, 250; at 45, art. 2.

France

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I. Introduction

The Autorité de la concurrence (Competition Authority) is France's competition watchdog agency.¹ It was created in 2008 to replace the Conseil de la concurrence (Competition Council), and has a broader mission and increased independence compared to its predecessor institution.²

The Competition Authority has four main missions: fight against anti-competitive agreements and abuses of market dominance, perform prior reviews of mergers and acquisitions, give advice and recommendations to the government on questions related to competition, and regulate certain legal professions such as notaries and bailiffs.³

The Competition Authority is meant to be independent and impartial.⁴ It has an independent investigation division, and cases are decided by a 17-member college after a trial-like adversarial process.⁵ Defendants have the option of negotiating a lower fine in exchange for not contesting the charges against them. An example of this is a 2013 case in which Schering-Plough and others settled for a fine of 15.3 million euros (approximately US\$15.8 million).

Since 2010, there have been four cases in which the Competition Authority found pharmaceutical companies guilty of violating French competition law following adversarial hearings. While cases that ended in a settlement are not included in this report, one case (Decision n° 13-D-21 of December 18, 2013, against Schering Plough) where some of the defendants settled but others did not is included.

II. Antitrust Enforcement Decisions Since 2010

A. Decision n° 13-D-11 of May 14, 2013, Against Sanofi and Sanofi-Aventis France

On May 14, 2013, the Competition Authority sentenced Sanofi-Aventis France, and its parent company Sanofi, to pay a fine of 40.6 million euros (approximately US\$40.5 million) for having undertaken a campaign to denigrate generic versions of Plavix (clopidogrel).⁶ The Competition Authority also ordered the defendants to publish a notice in two leading medical daily periodicals

¹ Autorité de la concurrence, *Missions*, <https://perma.cc/5VW4-C5SG> (in French).

² Id.

³ Id.

⁴ Id.

⁵ Id.

⁶ Décision n° 13-D-11 du 14 mai 2013 relative à des pratiques mises en œuvre dans le secteur pharmaceutique, May 14, 2013, <https://perma.cc/F59Q-LLF9>.

(*Le Quotidien du Médecin* and *Le Quotidien du Pharmacien*) to inform readers of the case and its outcome.⁷

On November 2, 2009, the Competition Authority received a complaint by Teva Santé, the third largest manufacturer of generic medication in France, alleging that Sanofi-Aventis France was abusing its position of dominance in the market for clopidogrel, and was party to an anti-competitive agreement with Bristol Myers Squibb.⁸

Sanofi-Aventis dominated the non-hospital market for clopidogrel, through both its brand-name Plavix, which it coproduced and marketed with Bristol Myers Squibb, and its auto-generic Clopidogrel Winthrop.⁹ Sanofi-Aventis took advantage of its relationship with doctors and pharmacists to portray competitor generics, including Teva's product, as potentially dangerous to the health of patients due to differences in ingredients and in therapeutic indications.¹⁰ Sanofi-Aventis implemented this strategy from September 2009 to January 2010, which is the period when competing generics were coming on the market.¹¹ The plaintiff also alleged that Sanofi-Aventis colluded with Sanofi, SARL Bristol-Myers Squibb, and Bristol-Myers Squibb Company to carry out this strategy of denigration.

After an investigation, the Competition Authority found that Sanofi-Aventis' actions violated article L.420-2 of the French Commercial Code, and article 102 of the Treaty on the Functioning of the European Union (TFEU).¹² Article L.420-2 of the Commercial Code and article 102 of the TFEU both prohibit abuses of market dominance.¹³ Teva-France had also argued that Sanofi-Aventis, and its parent company Bristol Myers Squibb, had violated article L.420-1 of the Commercial Code and article 101 of the TFEU, but the Competition Authority found that was not the case. Article L.420-1 of the Commercial Code and article 101 of the TFEU both prohibit anti-competitive agreements and concerted practices.¹⁴

⁷ Id.

⁸ Id.; Autorité de la concurrence Press Release, L'Autorité de la concurrence sanctionne Sanofi-Aventis à hauteur de 40,6 millions d'euros pour avoir mis en place une stratégie de dénigrement à l'encontre des génériques de Plavix®, l'un des médicaments les plus vendus dans le monde, (May 13, 2013), <https://perma.cc/KYL5-N9V4>.

⁹ Décision n° 13-D-11 du 14 mai 2013 relative à des pratiques mises en œuvre dans le secteur pharmaceutique, May 14, 2013.

¹⁰ Id.

¹¹ Id.

¹² Id.

¹³ Code de commerce, art. L.420-2, <https://perma.cc/CMC6-XLQP>; Treaty on the Functioning of the European Union, Consolidated Version, Oct. 26, 2012, art. 102, <https://perma.cc/HDZ3-CRQG>.

¹⁴ Code de commerce, art. L.420-1; Treaty on the Functioning of the European Union, art. 101.

B. Decision n° 13-D-21 of December 18, 2013, Against Schering Plough, Financière MSD, Merck & Co., Reckitt Benckiser Healthcare (UK) Ltd., and Reckitt Benckiser plc.

On December 18, 2013, the Competition Authority sentenced Schering Plough, Financière MSD, and their parent company Merck & Co., to jointly pay a fine of 15.4 million euros (approximately US\$15.9 million) for violating article L.420-2 of the French Commercial Code and article 102 of the TFEU.¹⁵ Additionally, the Competition Authority sentenced Schering Plough, Financière MSD, and Merck & Co. to jointly pay a fine of 414,000 euros (about US\$427,343), and Reckitt Benckiser Healthcare (UK) Ltd. and Reckitt Benckiser plc. to jointly pay a fine of 318,000 euros (about US\$328,249) for violating article L.420-1 of the Competition Code and article 101 of the TFEU.¹⁶ Article L.420-1 of the Commercial Code and article 101 of the TFEU both prohibit anti-competitive agreements and concerted practices, while article L.420-2 of the Commercial Code and article 102 of the TFEU both prohibit abuses of market dominance.¹⁷

The procedure began on November 13, 2006, when Arrow Génériques, a pharmaceutical company specializing in generics, sent a letter to the Competition Authority complaining about certain practices on the part of Schering-Plough to push Arrow's generic version of Subutex, Buprénorphine Arrow, out of the market.¹⁸

Subutex is manufactured by Reckitt Benckiser, but Schering-Plough has had the exclusive rights to market it in France since 1997. In its investigation and hearings, the Competition Authority found that, starting in 2005, Schering-Plough and Reckitt Benckiser jointly developed a strategy to counter the arrival of generics of Subutex on the market.¹⁹ This strategy had two main elements. One was to denigrate the Arrow generic in the medical community by implying that there were risks in prescribing it instead of the brand-name drug. The other element was to get pharmacists to saturate their inventory with Subutex by offering them substantial discounts and favorable payment options on large orders.²⁰

Schering-Plough, Financière MSD, and Merck & Co. did not contest the charges against them. In return for their non-contestation, and their commitment to take measures within their organizations to prevent this type of behavior from happening again, the Competition Authority agreed to reduce their fines by 20%.²¹ It does not appear that Reckitt Benckiser Healthcare (UK) Ltd nor Reckitt Benckiser plc entered into any settlement.

¹⁵ Décision n° 13-D-21 du 18 décembre 2013 relative à des pratiques mises en œuvre sur le marché français de la buprénorphine haut dosage commercialisée en ville, Dec. 18, 2013, <https://perma.cc/TTP4-DRBG>.

¹⁶ Id.

¹⁷ Code de commerce, arts. L.420-1, L.420-2; Treaty on the Functioning of the European Union, arts. 101, 102.

¹⁸ Décision n° 13-D-21 du 18 décembre 2013.

¹⁹ Id.

²⁰ Id.

²¹ Id.

C. Decision n° 17-D-25 of December 20, 2017, Against Janssen-Cilag and Johnson & Johnson

On December 20, 2017, the Competition Authority sentenced Janssen-Cilag SAS and its parent corporation Johnson & Johnson to pay a fine of 25 million euros (about US\$25.9 million) for having slowed the development of generic versions of Durogesic and having slowed their arrival on the market.²²

As soon as Janssen-Cilag's patent on Durogesic expired in 2005, it developed a strategy to counter the arrival of generics on the market.²³ The strategy it developed and implemented had two prongs. First, Janssen-Cilag repeatedly intervened, with no legal basis, in the proceedings of the French agency in charge of the safety of pharmaceutical products, the Agence française de sécurité sanitaire des produits de santé (AFSSAPS), to convince it to refuse to certify generic versions of Durogesic as generics of Durogesic at the national level, despite the fact they had already received this certification at the European level.²⁴ The second prong of Janssen-Cilag's strategy was to denigrate generics of Durogesic within the medical community by spreading misleading information regarding their efficacy and safety.²⁵ This strategy caused generic versions of Durogesic to arrive on the market several months later than they would otherwise.²⁶

On March 6, 2009, Ratiopharm, a pharmaceutical company specializing in generics, sent a letter to the Competition Authority alleging that Janssen-Cilag was engaging in anticompetitive behavior.²⁷ This letter prompted the Competition Authority to investigate these allegations.

The Competition Authority found that Janssen-Cilag, and its parent company Johnson & Johnson, had violated article L.420-2 of the French Commercial Code and article 102 of the TFEU, which both prohibit abuses of market dominance.²⁸ In addition to the 25 million euro fine already mentioned, the Competition Authority ordered the defendants to publish a notice in two leading medical daily periodicals (*Le Quotidien du Médecin* and *Le Quotidien du Pharmacien*) to inform readers of the case and its outcome.²⁹

D. Decision n° 20-D-11 of September 9, 2020, Against Novartis Group and Roche Group

On September 9, 2020, the Competition Authority sanctioned Novartis Pharma SAS, Novartis AG, Roche SAS, and Genentech Inc. for abuses of market dominance, and the companies Novartis Groupe France, Novartis AG, and Roche Holding AG were sanctioned in their capacities as

²² Décision n° 17-D-25 du 20 décembre 2017 relative à des pratiques mises en œuvre dans le secteur des dispositifs transdermiques de fentanyl, Dec. 20, 2017, <https://perma.cc/X6ZG-6BQR>.

²³ Id.

²⁴ Id.

²⁵ Id.

²⁶ Id.

²⁷ Id.

²⁸ Id.

²⁹ Id.

parent companies.³⁰ These companies were sentenced to pay fines totaling about 444.8 million euros (approximately US\$457 million).³¹

Genentech, a biotech research company owned by Roche Holding AG, developed Lucentis, a medication to treat age-related macular degeneration (ARMD), and Avastin, a cancer treatment. These two drugs are marketed by Genentech in the United States, but Avastin is marketed by Roche and Lucentis is marketed by Novartis in the rest of the world.³²

Doctors realized that the cancer drug Avastin could be used as treatment against ARMD, and started prescribing it off-label for that purpose.³³ Avastin is substantially cheaper than Lucentis, so, from March 2008 onward, Genentech, Novartis, and Roche collectively endeavored to limit the off-label use of Avastin so as to preserve the price and market share of Lucentis.³⁴ They did so by having Novartis denigrate Avastin within the ophthalmology community, especially by exaggerating the risks of Avastin in the treatment of ARMD compared to Lucentis.³⁵ Novartis, Roche, and Genentech also acted to block government agencies from approving the off-label use of Avastin for ARMD, particularly by spreading alarmist and sometimes misleading information on Avastin's safety in the treatment of ARMD.³⁶

The procedure against these companies started when a complaint was filed before the interregional competition investigation brigade of Lyon.³⁷ The Competition Authority's decision does not specify the identity of who filed this complaint, nor the date on which it was filed. However, the interregional competition investigation brigade of Lyon forwarded the case to the Competition Authority, which conducted its first searches and seizures on the defendants on April 8, 2014.

The Competition Authority found that, by their actions, the defendants violated article L.420-2 of the French Commercial Code and article 102 of the Treaty on the Functioning of the European Union (TFEU).³⁸ Article L.420-2 of the Commercial Code and article 102 of the TFEU both prohibit abuses of market dominance.³⁹ The Competition Authority sentenced Novartis Pharma SAS, Novartis AG, and Novartis Groupe France SA to jointly pay a fine of 253,905,750 euros (approximately US\$262,856,000) as punishment for their strategy to denigrate Avastin within the

³⁰ Décision 20-D-11 du 9 septembre 2020 relative à des pratiques mises en œuvre dans le secteur du traitement de la dégénérescence maculaire liée à l'âge (DMLA), Sept. 9, 2020, <https://perma.cc/K2NJ-A9LZ>.

³¹ *Id.*

³² *Id.*

³³ *Id.*

³⁴ *Id.*

³⁵ *Id.*

³⁶ *Id.*

³⁷ *Id.*

³⁸ *Id.*

³⁹ Code de commerce, art. L.420-2; Treaty on the Functioning of the European Union, art. 102.

ophthalmology community.⁴⁰ Novartis Pharma SAS, Novartis AG, and Novartis Groupe France SA were sentenced to jointly pay a fine of 131,197,500 euros (about US\$135,822,000) as punishment for spreading misleading and/or overly alarmist information to stop government agencies from approving the off-label use of Avastin for ARMD.⁴¹ Additionally, Roche, Genentech Inc., and Roche Holding AG were sentenced to jointly pay a fine of 59,748,726 euros (about US\$61,854,900) as punishment for their subsidiary's strategy to stop government agencies from approving the off-label use of Avastin for ARMD.⁴²

⁴⁰ Décision 20-D-11 du 9 septembre 2020.

⁴¹ Id.

⁴² Id.

India

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I. Introduction

In India, antitrust and competition issues are regulated by the Competition Act, 2002,¹ and its subordinate rules, regulations, and notifications.² The law “aims at fostering competition and at protecting Indian markets against anti-competitive practices by enterprises.”³ The Competition Commission of India (CCI) is established to enforce and administer the Competition Act.⁴ The CCI “consists of a Chairperson and not more than 6 Members appointed by the Central Government.”

Chapter II of the Competition Act prohibits anticompetitive agreements under section 3 and abuse of a dominant position by enterprises under section 4, and it “regulates combinations (mergers, amalgamations and acquisitions) with a view to ensure that there is no adverse effect on competition in India”⁵ under section 5.⁶

Section 3 prohibits any agreement that “causes, or is likely to cause, appreciable adverse effect on competition in markets in India,” and such an agreement is considered void. The CCI has described the types of agreements that are prohibited.

An agreement may be horizontal i.e. between enterprises, persons, associations, etc. engaged in identical or similar trade of goods or provision of services, or it may be vertical i.e. amongst enterprises or persons at different stages or levels of the production chain in different markets. Cartelisation is one of the horizontal agreements that shall be presumed to have appreciable adverse effect on competition under Section 3 of the Act.⁷

Chapter IV of the act provides the powers and functions of the CCI, including powers to investigate and inquire into anticompetitive agreements and the abuse of a dominant position. The Director General (DG) Office is the investigative wing of the CCI, “which commences investigation once the Commission passes a prima facie order directing the DG to do so.”⁸ The law also gives the CCI the power to issue orders under section 27 directing the discontinuance of

¹ Competition Act, 2002, <https://perma.cc/BW5Q-STD5>.

² *Legal Framework*, Competition Comm’n India (CCI), <https://perma.cc/LR2T-QHJV>.

³ *Antitrust*, CCI, <https://perma.cc/3GD7-YGC5>.

⁴ *Institutional Framework: The Commission*, CCI, <https://perma.cc/P4ZK-KFUC>.

⁵ CCI, *Antitrust*, *supra* note 3.

⁶ *Id.*

⁷ *Id.*

⁸ CCI, *Institutional Framework: The Commission*, *supra* note 4.

anticompetitive practices (cease and desist), sanction modification of agreements, and impose penalties.⁹ Under section 27(b), the CCI can impose a penalty accordingly.

(b) impose such penalty, as it may deem fit which shall be not more than ten per cent. of the average of the turnover for the last three preceding financial years, upon each of such person or enterprises which are parties to such agreements or abuse:

Provided that in case any agreement referred to in section 3 has been entered into by a cartel, the Commission may impose upon each producer, seller, distributor, trader or service provider included in that cartel, a penalty of up to three times of its profit for each year of the continuance of such agreement or ten per cent. of its turnover for each year of the continuance of such agreement, whichever is higher.¹⁰

Cases can be brought by information received from an informant, through referrals by other government agencies, or on a suo moto basis.¹¹ Since May 26, 2017, the National Company Law Appellate Tribunal (NCLAT), which replaced the Competition Appellate Tribunal (COMPAT), is the appellate tribunal designated to “hear and dispose of appeals against any direction issued or decision made or order passed” by the CCI.¹²

II. Case Law Since 2010

According to one report, “most of the interventions of the CCI have been directed at the pharmaceutical distribution chain and in particular at the All India Organization of Chemists and Druggists (AIOCD) and various other state-level associations of chemists and druggists.”¹³ According to a 2018 paper “[i]n the recent past, the CCI has played an active part in restraining abuse of dominance and cartelizing tendencies by the associations of chemists, druggists, stockists [distributors], whole-sellers and manufacturers which could have had a potential adverse impact over public health.”¹⁴ According to a 2014 press release, the CCI has “found the following practices of All India level, State level, District level associations of chemists, druggists, stockists, whole-sellers and manufacturers as anti-competitive”:¹⁵

⁹ Samir Gandhi et al., *Antitrust and Competition in India*, Global Compliance News, <https://perma.cc/Q8WU-SE3G>.

¹⁰ Competition Act, 2002, § 27(b).

¹¹ CCI, *Cartel Enforcement and Competition: ICN Special Project* 18 (2018), <https://perma.cc/TD7L-5BW2>.

¹² *About NCLAT*, NCLAT, <https://perma.cc/7XN8-BPMQ>.

¹³ CCI, *Cartel Enforcement and Competition: ICN Special Project*, supra note 11, at 18.

¹⁴ Sanchit Srivastava & Shubhashish Chaudhri, *A Bitter Pill to Swallow – Analyzing Anti-Trust Concerns in the Indian Pharmaceutical Sector*, 1(2) RSLR 29 (2015), <https://perma.cc/AQ5X-2JYV>.

¹⁵ Press Info. Bureau, Ministry Corp. Aff., IST CCI Draws Attention of Associations of Chemists, Druggists, Stockists, Wholesellers and Manufacturers to the Anti-Competitive Practices in the Pharmaceutical Industry (Feb. 3, 2014), <https://perma.cc/6T7L-N2SU>.

1. Issuance of No Objection Certificate or letter of consent by such associations for opening chemist shop/being appointed stockists/distributor/whole-seller.
2. Compulsory payment of PIS [product information service] charges by pharmaceutical firms/manufacturers to associations for release of new drug/new formulation.
3. Fixation of trade margins at different levels of sale of drugs/medicines.
4. Issuance of instructions to chemists/druggists/shops/stockists/whole-sellers/manufacturers restricting discounts on sale of drugs in retail or wholesale.
5. Issuance of boycott calls by the associations to their members against any enterprise for not following the instructions of associations.¹⁶

The CCI has issued “cease and desist” orders, and financial penalties have been imposed on such “trade associations of chemists and druggists for violation of provisions of Competition Act.”¹⁷

The following is a list of cases in which the CCI has been involved since 2010 that resulted in penalties for anticompetitive conduct. We believe we were able to locate most such cases; however, the list is likely not comprehensive.

- *Varca Druggist & Chemist & Ors. v. Chemists and Druggists Association, Goa* (2012):¹⁸ The CCI held that restrictive guidelines imposed by the Chemists and Druggists Association, Goa (CDAG) were in violation of section 3(3)(a) and (b) of the Competition Act. The CCI imposed a penalty of 10% of the average of receipts for financial years 2008-09 and 2009-10 on the CDAG [a penalty of 2,00,000 Indian Rupees (INR) (about US\$2,460)].¹⁹ The guidelines included restrictions summarized as follows:

(a) required pharmaceutical companies to appoint only CDAG members as stockists; (b) required that a No-Objection Certificate (NOC) be obtained by any pharmaceutical company prior to appointing a new stockist or distributor; (c) restricted the introduction of new drugs and pharmaceutical formulations into the market by requiring new stockists and distributors to pay sums of money to the CDAG under the guise of Product Information Service (PIS) fees; and (d) fixed margins of pharmaceutical products and restricted the ability of retailers and wholesalers to provide discounts, and pass on the benefits of beneficiary schemes to their customers.²⁰

- *M/s Santuka Associates Pvt. Ltd. v. All India Organization of Chemists and Druggists and Ors* (2013):²¹ In a case on the abuse of a dominant position by the AIOCD, a national level umbrella organization, it was found to be in violation of section 3 of the Competition Act and penalized for limiting and restricting the supply of pharmaceutical drugs in India. The organization and its affiliates were ordered to “cease and desist” in respect to anticompetitive practices that included the “grant of NOC for appointment of stockists, fixation of trade margins, collection

¹⁶ Id.

¹⁷ Id.

¹⁸ *Varca Druggist & Chemist & Ors. v. Chemists and Druggists Association, Goa* (MRTP C-127/2009/DGIR4/28) (June 11, 2012), <https://perma.cc/6DL5-EW23>.

¹⁹ Id. ¶ 32.

²⁰ CCI, *Cartel Enforcement and Competition: ICN Special Project*, supra note 11, at 18.

²¹ *M/s Santuka Associates Pvt. Ltd. v. All India Organization of Chemists and Druggists and Ors.* (Case No. 20 of 2011) (Feb. 19, 2013), <https://perma.cc/UU7P-9PXH>.

of PIS charges and boycott of products of pharmaceutical companies.”²² The CCI imposed a penalty of an amount equal to 10% of the average income of the preceding three financial years on the organization, which amounted to 47.4 lakh [about US\$58,267.46].²³

- *M/s Arora Medical Hall, Ferozepur v. Chemists & Druggists Association, Ferozepur* (2014):²⁴ The CCI imposed a penalty of an amount equal to 10% of the average income of the preceding three years on the organization [INR15,135.63 (about US\$185.40)] and individual office-bearers of the Chemists and Druggists Association, Ferozepur,²⁵ for entering into an agreement in an Extraordinary Meeting (2012) and a circular (2013) “limiting and controlling the supply of drugs and medicines in Ferozepur district of Punjab”²⁶ in contravention of provisions of section 3 of the Competition Act. The association required that any chemist or druggist who wishes to take distributorship for medicines in Ferozepur to take a NOC and a Line of Credit (LOC) from it to be appointed a stockist.²⁷ The regulator has also directed the association and its officers “to cease and desist from indulging in such anti-competitive practices.”²⁸
- *Suo moto Case No. 02 of 2012 In re: Bengal Chemist and Druggist Association and Reference Case No. 01 of 2013 Re: Reference Case No. 01 of 2013 filed under section 19(1)(b) of the Competition Act, 2002 by Dr. Chintamani Ghosh, Director, Directorate of Drugs* (2014):²⁹ In a suo moto case, the CCI imposed a penalty of INR18.38 crores [about US\$2.3 million] on the Bengal Chemist and Druggist Association (BCDA) and its office bearers for “anti-competitive practices.”³⁰ The CCI found that the BCDA “engaged in anti-competitive practices of directly or indirectly determining the sale prices of drugs and controlling or limiting the supply of drugs through concerted and restrictive practices, the CCI directed the BCDA and its office bearers and executive committee members to seize and desist from indulging in practices found to be anticompetitive in terms of the provisions of the Act.”³¹ CCI also imposed a penalty on the BCDA “and its [sic] those office bearers who were directly responsible for running its affairs

²² Id. ¶ 35(ii).

²³ Id. ¶ 34.

²⁴ *M/s Arora Medical Hall, Ferozepur v. Chemists & Druggists Association, Ferozepur* (Case No. 60 of 2012) (Feb. 5, 2014), <https://perma.cc/2JP2-SL6H>.

²⁵ Id. ¶ 86.

²⁶ Id. ¶ 10.

²⁷ Id. ¶ 3.

²⁸ Id. ¶ 83.

²⁹ *Suo moto Case No. 02 of 2012 In re: Bengal Chemist and Druggist Association and Reference Case No. 01 of 2013 Re: Reference Case No. 01 of 2013 filed under section 19(1)(b) of the Competition Act, 2002 by Dr. Chintamani Ghosh, Director, Directorate of Drugs* (Suo moto Case No. 02 of 2012 and Ref. Case No. 01 of 2013) (Mar. 11, 2014), <https://perma.cc/UW7F-D676>.

³⁰ Press Info. Bureau, Ministry Corp. Aff., CCI Imposes Penalty of Rs. 18.38 Crores on Bengal Chemist and Druggist Association (Mar. 14, 2014), <https://perma.cc/N5SH-SP84>.

³¹ Id.

and play lead role in decision making @10% and on the executive committee members @7%, of their respective turnover/income/receipts.”³²

- *Collective boycott/refusal to deal by the Chemists & Druggists Association, Goa (CDAG), M/s Glenmark Company and M/s Wockhardt Ltd.* (2014).³³ The CCI found CDAG in continued contravention of section 3(3) read with section 3(1) of the Competition Act. The CCI found “it is required that the degree of punishment is scaled to the severity of the violation. It is apparent that CDAG has completely disregarded” its previous order and by “continuing anti-competitive conduct in spite of specific directions against it, CDAG has shown utmost disrespect to the Commission’s mandate.”³⁴ The CCI imposed a penalty calculated at the rate of 10% of the average receipts of CDAG amounting to INR10,62,062 (about US\$13,009).
- *Rohit Medical Stores v Macleods Pharmaceutical Limited and Ors* (2015):³⁵ The CCI imposed a penalty equal to 10% of the average income of the preceding three years (INR2.6 lakh (about US\$3,184.66)) on the Himachal Pradesh Society of Chemists and Druggists Alliance (HPSCDA) for “anti-competitive practices of imposing the condition of obtaining No Objection Certificate (NOC) prior to the appointment of stockists in the state.”³⁶ The CCI also imposed a penalty at the rate of 8% of HPSCDA’s income based on the three previous income tax returns statements, resulting in a penalty of INR28,276 (about US\$346.35).
- *M/s Bio-Med Private Limited v. Union of India & others* (2015):³⁷ In June 2015, CCI imposed a total fine of about INR64 crore (about US\$ 7.9 million) on GlaxoSmithKline Pharmaceuticals Ltd. and Sanofi Pasteur India for “alleged collusive bidding in supply of a meningitis vaccine to the government” for pilgrims to Hajj, the annual Islamic pilgrimage to Mecca, and “subsequently plotting to charge higher prices in the government tender for the said vaccine. The matter relates to supply of polysaccharide Quadrivalent Meningococcal Meningitis (QMMV).”³⁸ The order was set aside by COMPAT.³⁹ COMPAT’s ruling was upheld by the Supreme Court of India.⁴⁰

³² Id.

³³ *Collective Boycott/Refusal to Deal by the Chemists & Druggists Association, Goa (CDAG), M/s Glenmark Company and M/s Wockhardt Ltd.*, (Case No. 5 of 2013) (Oct. 27, 2014), <https://perma.cc/QH7G-UV69>.

³⁴ Id. ¶ 10.

³⁵ *Rohit Medical Stores v. Macleods Pharmaceutical Limited and Ors* (Case No. 78 of 2012) (Jan. 29, 2015), <https://perma.cc/GEK8-8B5C>.

³⁶ Id. ¶ 83.

³⁷ *M/s Bio-Med Private Limited v. Union of India & Others* (Case No. 26 of 2013) (June 4, 2015), <https://perma.cc/2AHK-LYM4>.

³⁸ *Saba, Rs 64 Crore Penalty Imposed upon GlaxoSmithKline Pharmaceuticals and Sanofi Pasteur India by CCI, Set Aside*, SCC Online Blog (Nov. 21, 2016), <https://perma.cc/YXQ7-PQ56>.

³⁹ Id.

⁴⁰ *Competition Commission of India v. Glaxosmithkline & Ors. etc.* (Aug. 10, 2017), <https://perma.cc/X3AA-RZ5H>.

- *M/s Maruti & Company v. Karnataka Chemists & Druggists Association & Others*:⁴¹ On July 28, 2016, a CCI order found that the Karnataka Chemists and Druggist Association (KCDA) and the pharmaceutical company Lupin Ltd. and their office-bearers have contravened section 3 of the Competition Act. In this case, a chemist alleged that KCDA restrains pharmaceutical companies from appointing new stockists in the State of Karnataka unless a NOC is obtained from it. It was also alleged that Lupin denied the supply of drugs to the chemist for not having obtained a NOC from KCDA. The CCI imposed the following penalties:

The CCI imposed a monetary penalty of ₹ 8,60,321/-, calculated at the rate of 10 % of the average income of KCDA, under the provisions of Section 27 of the Act. While imposing penalty on Lupin, the Commission observed that the refusal to supply by it was for a brief period, after which Lupin resumed supplies to M/s Maruti & Co. considering this as a mitigating factor, the Commission imposed a penalty at the rate of 1% of Lupin's average turnover, amounting to 72.96 crores (about US\$8.9 million). In addition, monetary penalties were imposed on the office bearers of KCDA and officials of Lupin at the rate of 10% and 1% of their incomes, respectively.⁴²

- *The Belgaum District Chemists and Druggists Association v. Abbott India Ltd. & Others* (2017):⁴³ In this case, pharmaceutical companies Abbott India Ltd. and Geno Pharmaceuticals had stopped the supply of essential medicines to distributors who had not obtained NOCs from either AIOCD or the Karnataka Chemists and Druggists Association (KCDA) and fixed trade margins for retailers and wholesalers. The commission found their conduct to be in violation of section 3(1) read with section 3(3) of the Competition Act. No penalty was imposed, as penalties had already been imposed in a case involving similar allegations against KCDA.
- *Reliance Agency v. Chemists and Druggists Association of Baroda & Others* (2018):⁴⁴ The CCI held that the Chemists and Druggists Association of Baroda (CDAB) and the Federation of Gujarat State Chemists and Druggists Association (Gujarat Federation) were in contravention of section 3(3)(b) read with section 3(1) of the Competition Act:

One of the stockists based in Vadodara filed an information alleging that despite an earlier order of the Commission in the year 2012, CDAB, through its practices, has continued to limit and control the supply of drugs and medicines in the market by mandating 'No Objection Certificate' ('NOC'/'LOC') prior to appointment of stockists and payment of 'Product Information Service' ('PIS') charges prior to introduction of new products in the market by pharmaceutical companies. Investigation carried-out by the Director General ('DG') revealed involvement of the State Level Association, i.e. the Gujarat Federation, besides CDAB, in the alleged conduct. After detailed enquiry, the Commission has found that CDAB and the Gujarat Federation were indulging in the anti-competitive practice of insisting NOC prior to the appointment of new stockists by pharmaceutical companies.

⁴¹ *M/s Maruti & Company v. Karnataka Chemists & Druggists Association & Others* (Case No. 71 of 2013) (July 28, 2016), <https://perma.cc/4SSM-5YQF>.

⁴² Vaish Associates Advocs., *India: CCI Again Fines Pharma Company for Anti-Competitive Activities*, Mondaq.com (Sept. 9, 2016), <https://perma.cc/H35X-RP3R>.

⁴³ *The Belgaum District Chemists and Druggists Association v. Abbott India Ltd. & Ors* (C-175/09/DGIR/27/28-MRTP) (Mar. 2, 2017), <https://perma.cc/C3GH-CT52>.

⁴⁴ *Reliance Agency v. Chemists and Druggists Association of Baroda (CDAB) & Others* (Case No. 97 of 2013) (Jan. 4, 2018), <https://perma.cc/X6Z2-2PGX>.

Further, the Gujarat Federation was found to be carrying on the practice of making introduction of new products in the market subject to payment of PIS charge and its approval. These practices were held to be limiting and controlling supplies of drugs/medicines in the market, in contravention of Section 3 (3) (b) read with Section 3 (1) of the Act. Further, the Commission has held office bearers of CDAB and Gujarat Federation, namely Shri V.T. Shah (President, CDAB), Shri Jashvant Patel (President, Gujarat Federation), to be responsible under Section 48 of the Act, for their involvement in the anti-competitive practices. Accordingly, CDAB, Gujarat Federation and their office bearers, have been directed to cease and desist from indulging in the aforesaid anti-competitive practice. Further, the Commission imposed a monetary penalty of Rs. 1,08,588/- and Rs. 11,11,549/-, [about US\$1,330 and US\$13,615, respectively] calculated at the rate of 10% of the average income of CDAB and the Gujarat Federation, respectively, under the provisions of Section 27 of the Act. Penalties of Rs. 34,048/- and Rs. 62,144/- [about US\$417 and US\$761, respectively], calculated at the rate of 10% of their respective average incomes, are also imposed upon Shri V.T. Shah (President, CDAB) and Shri Jashvant Patel (President, Gujarat Federation).⁴⁵

- On July 12, 2018,⁴⁶ the CCI imposed total penalties of approximately INR47 crore [about US\$5.8 million] on Glenmark Pharmaceutical, its three officials, two other pharma companies, and four Gujarat-based chemists associations for indulging in anticompetitive practices such as mandating NOC.
- *Vedant Bio Sciences v. Chemists & Druggists Association of Baroda* (2019):⁴⁷ CCI imposed a penalty of INR32,724 [about US\$400] (a rate of 10% of the relevant average income) on the Chemist and Druggists Association of Baroda (CDAB) for imposing unfair conditions on the sale of pharmaceutical products of different companies and mandatory NOC practice, among other anticompetitive actions. The commission concluded CDAB acted in contravention of section 3(3)(a) and 3(3)(b) read with section 3(1) of the Competition Act.⁴⁸ The commission had also issued a previous order in 2012.⁴⁹
- *Madhya Pradesh Chemists and Distributors Federation (MPCDF) v. Madhya Pradesh Chemists and Druggist Association (MPCDA) & Others* (2019):⁵⁰ CCI found the MPCDA and Indore Chemists Association (ICA) mandated a NOC requirement prior to the appointment of stockists. The

⁴⁵ Press Info. Bureau, Ministry Corp. Aff., Competition Commission of India Imposes Penalty on Chemists and Druggists Association of Baroda and Federation of Gujarat Chemists and Druggists Association (Jan. 5, 2018), <https://perma.cc/S736-UVKD>.

⁴⁶ (65/2014) M/s. Alis Medical Agency v. Federation of Gujarat State Chemists & Druggists Associations & Others, (71/2014) M/s. Stockwell Pharma v. Federation of Gujarat State Chemists & Druggists Associations & Others, (72/2014) M/s. Apna Dawa Bazar v. Federation of Gujarat State Chemists & Druggists Associations & Others, (68/2015) M/s. Reliance Medical Agency v. The Chemists & Druggists Association of Baroda & Others, <https://perma.cc/2T9F-RLEL>.

⁴⁷ *Vedant Bio Sciences v. Chemists & Druggists Association of Baroda* (c-87/2009/DGIR) (Jan. 15, 2019), <https://perma.cc/H94C-UJFD>.

⁴⁸ Press Info. Bureau, Ministry Corp. Aff., Competition Commission of India (CCI) Imposes Penalty on Chemists and Druggists Association of Baroda (Jan. 16, 2019), <https://perma.cc/32BE-KK8G>.

⁴⁹ *Vedant Bio Sciences v. Chemists & Druggists Association of Baroda* (c-87/2009/DGIR) (Sept. 5, 2012), <https://perma.cc/C8RE-WLGD>.

⁵⁰ *Madhya Pradesh Chemists and Distributors Federation (MPCDF) v. Madhya Pradesh Chemists and Druggist Association (MPCDA) & Others* (Case No. 64/2014) (June 3, 2019), <https://perma.cc/NMJ9-RTL5>.

commission imposed a fine of 10% turnover on both the parties.⁵¹ Penalties were also imposed on two drug companies, Himalaya Drug Company and Intex Pharmaceuticals Limited, in the amount of 18.5 crore [about US\$2.3 million] and 55.5 crore rupees [about US\$6.8 million], respectively.⁵² Penalties were also imposed on certain office bearers of the said companies and associations.

- *Nadie Jauhri v Jalgaon District Medicine Dealers Association (JDMDA)* (Case No. 61 of 2015) (2019).⁵³ On June 20, 2019, the CCI imposed a penalty of INR80,185 (about US\$1,200) on the JDMDA as well as its office-bearers, for imposing a mandatory condition on pharmaceutical companies to pay PIS, which “resulted in limiting and controlling the supply of drugs in the market and amounted to an anti-competitive practice, in violation of the provisions of Section 3(3)(b) read with Section 3(1) of the Act.”⁵⁴
- *Shri Suprabhat Roy, Proprietor, M/s Suman Distributors v. Shri Saiful Islam Biswas, District Secretary of Murshidabad District Committee of Bengal Chemists and Druggists Association & Others, Shri Sankar Saha, Branch Secretary, Pharmaceuticals Traders Welfare Association of Bengal v. Shri Hitesh Mehta, Depot Manager of Alkem Laboratories Limited & Others, Shri Joy Deb Das, Proprietor, M/s Maa Tara Medical Agency v. Shri Rajeev Mishra, authorised signatory of Macleods Pharmaceuticals Ltd & Ors* (2020).⁵⁵ The CCI annual report (2019-2020) summarizes the case as follows:

Finding: The Commission found BCDA and its two District Committees, viz. Murshidabad District Committee and Burdwan District Committee and their office-bearers to be indulging in anti-competitive practices, in contravention of the provisions of Section 3(3)(b) read with Section 3(1) of the Act. Such anti-competitive practices were: (i) requiring pharmaceutical companies in at least some Districts of the State of West Bengal to have their new stockists obtain a prior Stock Availability Information (SAI)/ No Objection Certificate (NOC) from BCDA before the supply of drugs could be commenced to them; (ii) collecting monetary considerations from the prospective stockists against the issuance of SAI to them, through its District Committees; and (iii) requiring promotion cum distributor agents of pharma companies to obtain Product Availability Information (PAI) from BCDA after payment of monetary considerations to it in the form of donations, to start marketing drugs of their respective pharma companies in the State of West Bengal. Further, the Commission found that pharmaceutical companies, namely Alkem and Macleods had an anti-competitive agreement with BCDA whereby these companies, after issuing the offer letter of stockistship to prospective stockists, demanded from them SAI/NOC/Approval Letter/Circulation Letter from BCDA, before supplies of drugs could be commenced to them. For their such conduct, the Commission found Alkem and Macleods liable for contravention of the provisions of Section 3(1) of the Act and their various officials have also been found liable by the Commission for such conduct in terms of Section 48 of the Act.

⁵¹ Press Info. Bureau, CCI, CCI Imposes Penalty on Chemists and Druggists Association and Pharmaceutical Companies (June 6, 2019), <https://perma.cc/RD38-A2BM>.

⁵² Id.

⁵³ *Nadie Jauhri v. Jalgaon District Medicine Dealers Association (JDMDA)* (Case No. 61 of 2015) (June 20, 2019), <https://perma.cc/ZY7F-QG3T>.

⁵⁴ Id. ¶ 63.

⁵⁵ Case Nos. 36/2015, 31/2016, and 58/2016, <https://perma.cc/N3Q4-2ASK>.

Decision: The Commission vide order dated March 12, 2020, in terms of Section 27(a) of the Act, directed BCDA, its District Committees of Murshidabad and Burdwan, their office bearers, pharmaceutical companies, viz. Alkem and Macleods, and their respective officials who were held liable in terms of the provisions of Section 48 of the Act, to cease and desist in future from indulging in practices which have been found in the present order to be in contravention of the provisions of Section 3 of the Act. However, no penalty was imposed on any party.⁵⁶

⁵⁶ Competition Commission of India, Annual Report 2019-20 6-7 (2020), <https://perma.cc/SMV8-TRSQ>.

Israel

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Sanofi v. Unipharm Ltd.

On July 12, 2021, the Supreme Court, by a two-to-one majority, rejected an appeal against a decision rendered by the Center-Lod District Court requiring Sanofi, a pharmaceutical company registered in France, to compensate Unipharm, an Israeli-registered company that manufactures generic drugs, for violating Israeli laws on competition and unjust enrichment.¹

The district court held that Sanofi knowingly and deliberately misled the patent registrar, thereby extending the duration of the litigation in its patent application. This deception allowed Sanofi, according to the court, to extend its status of a de facto monopoly in relation to the drug named "Plavix" for a period of fifteen months. The district court concluded that the excess profits enjoyed by Sanofi during those fifteen months because of its monopolistic status, caused its unlawful enrichment. The court imposed a duty to compensate Unipharm on Sanofi in the amount of 2,600,000 NIS (about US\$738,683). This amount was determined after Sanofi had accepted the court's suggestion that if it accepted the claim in full, it would not have to report on its full income and profits from the marketing of the drug in the period between filing the registration request and until it withdrew its patent application.²

The court based its decision on the following legal grounds:

1. Providing misleading or neglecting to update information to the Patents Registrar on publications and relevant sources, in violation of section 18 (c) of the Patents Law 5727-1967;³
2. Abuse of economic position by a monopoly owner in a way that might reduce competition in business or harm the public, in violation of section 29A(a) of the Economic Competition Law 5748-1988;⁴
3. Misleading the patent registrar, which disadvantaged Unipharm and entitled it to restitution or damages in accordance with the Unjust Enrichment Law, 5739-1979.⁵

¹ CivA 2167/16 Sanofi v. Unipharm Ltd. (Supreme Court decision rendered July 12, 2021), State of Israel: the Judicial Authority, <https://perma.cc/ZZ76-XM3P> (in Hebrew).

² CivC (Center-Lod) 33666-07-11 Unipharm v. Sanofi (Oct. 8, 2015), Nevo Legal Database (Nevo), <https://perma.cc/3GG3-G85L> (in Hebrew, by subscription).

³ Patents Law 5727-1967, SH 5727 Issue No. 510 p. 148, as amended; full up-to-date text at Nevo, <https://perma.cc/P654-QM7D> (in Hebrew, by subscription).

⁴ Economic Competition (previously titled Limitations on Business) Law 5748-1988, SH 5748 p. 128, as amended, full up-to-date text at Nevo, <https://perma.cc/SQH4-KYR6> (in Hebrew, by subscription).

⁵ Unjust Enrichment Law, 5739-1979, SH 5739 No. 924 p. 42, Takdin Legal Database, <https://perma.cc/H5WB-AHPY> (in Hebrew, by subscription).

Rejecting Sanofi's appeal, the Supreme Court held that both section 18(c) of the Patents Law and section 29A(a) of the Economic Competition Law regulate competition and that their violation justifies, under appropriate circumstances, restitution under the law of unjust enrichment. In a tort claim for violation of the rules of competition, the plaintiff must prove that the defendant knowingly and intentionally violated the rules of competition.⁶

In the circumstances of the current case, the Supreme Court determined that Sanofi had misled the patent registrar by knowingly and intentionally neglecting to provide relevant information. The deception caused the proceedings to continue and led to Sanofi's unjust enrichment at the expense of its competitors.⁷ The Court accepted Unipharm's counter appeal and returned the case to the district court for determining Sanofi's profits for purpose of calculating the proper amount of restitution.⁸

Although the Supreme Court recognized that violating the rules of competition could constitute a basis for compensation for unjust enrichment, the Court disagreed that Sanofi's actions in the current case violated Section 29A of the Economic Competition Law. According to Justice Hanan Melcer, Sanofi could have engaged in the same deception even if it were not for the monopolistic status it enjoyed at that time. Even if it could be determined that Sanofi harmed competition, it could not be said that it "took advantage of its position in the market" to harm competition. Therefore, the fact that Sanofi had a monopoly (if indeed this was the case) had nothing to do with deception. It was the deception, and not Sanofi's position in the market, that caused damage to competition, according to Melcer.⁹

⁶ CivA 2167/16 decision by Hanan Melcer, para. 116.

⁷ Id. para. 144.

⁸ Id. verdict.

⁹ Id. para. 147

Japan

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I. Introduction

The Japan Fair Trade Commission (JFTC) is the government agency that enforces the Act on Prohibition of Private Monopolization and Maintenance of Fair Trade (Anti-Monopoly Act)¹ and its related laws.² Since 2010, there have been two cases in which pharmaceutical companies were punished by the Act.

II. Cases

A. Koa Isei Co., Ltd

Nippon Chemiphar Co., Ltd decided to outsource the manufacturing of all generic lanthanum carbonate hydrate oral disintegration (OD) tablets to Koa Isei Co., Ltd. On June 20, 2018, Koa Isei and Nippon Chemiphar mutually confirmed that they would not sell generic lanthanum carbonate hydrate OD tablets at discounted prices.³

On July 20, 2018, Nippon Chemiphar presented Koa Isei with a wholesale price (selling price for wholesalers) for generic lanthanum carbonate hydrate OD tablets and asked them to sell Koa Isei's own generic tablets at the price. Koa Isei later agreed. By entering into this agreement, the two companies substantially restricted competition in the field of sales of generic lanthanum carbonate hydrate OD tablets in Japan.⁴

The JFTC decided it was an “unreasonable restraint of trade” under the Anti-Monopoly Act⁵ and issued a cease and desist order⁶ against Koa Isei and fined them 1.37 million yen (US\$9,818) on June 4, 2019.⁷ The JFTC did not punish Nippon Chemiphar because the JFTC confirmed that

¹ Act on Prohibition of Private Monopolization and Maintenance of Fair Trade (Anti-Monopoly Act), Act No. 54 of 1947, as amended by Act No. 45 of 2019, <https://perma.cc/PP5F-W48> (in Japanese), English translation current through amendments made by Act No. 100 of 2013, <https://perma.cc/K8J5-MECN>.

² Japan Fair Trade Commission (JFTC), *For Fair and Free Market Competition 2*, <https://perma.cc/A9QV-ERR2>.

³ 令和元年度公正取引委員会年次報告 (2019 JFTC Annual Report), at 41-43, <https://perma.cc/C8VF-Q3FF>.

⁴ *Id.*

⁵ Anti-Monopoly Act art. 3.

⁶ *Id.* art. 7, para. 1.

⁷ 2019 JFTC Annual Report, *supra* note 3, at 37.

Nippon Chemifar voluntarily reported collusion in this case, instructed its sales staff not to engage in collusion, and that it had withdrawn from collusion after the voluntary declaration.⁸

B. Torii Pharmaceutical Co., Ltd

Torii Pharmaceutical Co., Ltd and Nippon Chemifar had been exchanging information regarding the revised price of bevantolol hydrochloride (product name: Calvin) tablets in line with the National Health Insurance (NHI) drug price standard revision. After March 5, 2014, at the latest, the two companies agreed to match the wholesale prices of Calvin tablets in order to prevent the wholesale prices from declining and secure their own profits. In the event that NHI drug price revisions would be carried out, the sales department managers of the two companies would hold a meeting and set the wholesale prices of Calvin tablets at the same price or almost the same price.⁹

The JFTC decided it was an “unreasonable restraint of trade” under the Anti-Monopoly Act¹⁰ and issued a cease and desist order¹¹ against Torii Pharmaceutical and fined the company 2.87 million yen (about US\$20,569) on March 5, 2020.¹²

⁸ ジェネリック薬で初のカルテル、「主犯」は誰か (First Cartel for Generic Drug, Who was the “Main Culprit?”), Toyo Keizai (June 9, 2019), <https://perma.cc/T3EN-MLPV>.

⁹ 2019 JFTC Annual Report, *supra* note 3, at 60.

¹⁰ Anti-Monopoly Act art. 3.

¹¹ *Id.* art. 7, para. 1.

¹² 2019 JFTC Annual Report, *supra* note 3, at 38.

Netherlands

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I. Introduction

In the Netherlands, competition law is regulated by European Union (EU) law, in particular articles 101 to 106 of the Treaty on the Functioning of the European Union (TFEU) and directly applicable EU legislation to implement the TFEU provisions, and by national competition law, in particular the Dutch Competition Act (DCA) (*Mededingingswet*, MW).¹ Both the European Commission (Commission) and the national competition authorities (NCAs) of the EU Member States are authorized to enforce the EU competition law rules.² National competition law rules apply to anti-competitive conduct that does not affect cross-border trade in the EU.

The national competition law authority is the Netherlands Authority for Consumers and Markets (*Autoriteit Consument en Markt*, ACM).³ ACM enforces competition law rules, in particular the prohibition on restrictive agreements and the abuse of a dominant position,⁴ and provides information to consumers.⁵ It may impose administrative fines or issue orders subject to penalty.⁶ Administrative fines on a violator are limited to a maximum of up to 900,000 euros (about US\$902,000) or, if that is more, of a maximum of 1% of the turnover of the sanctioned company or of up to 10% of the turnover, depending on the violation.⁷

II. Cases

Between 2010 and today, the ACM has sanctioned one pharmaceutical company for anticompetitive behavior.⁸ Other investigations during that timeframe were discontinued.⁹

¹ Consolidated Version of the Treaty on the Functioning of the European Union (TFEU), 2016 O.J. (C 202) 1, arts. 101-106, <https://perma.cc/FBA8-VBX5>; Consolidated Version of Regulation (EC) No. 1/2003, 2003 O.J. (L 1) 1, <https://perma.cc/59KD-B26B>; *Mededingingswet* [MW], May 22, 1997, *Staatsblad van het Koninkrijk der Nederlanden* [Stb.] 1997, no. 242, <https://perma.cc/B9AC-SFZ4>.

² Regulation (EC) No. 1/2003, arts. 4, 5.

³ MW, art. 2; *Instellingswet Autoriteit Consument en Markt*, Feb. 28, 2013, *Stb.* 2013, no. 102, <https://perma.cc/3U7W-AM8E>.

⁴ MW, arts. 6, 24.

⁵ *Instellingswet Autoriteit Consument en Markt*, art. 2.

⁶ MW, art. 56.

⁷ *Instellingswet Autoriteit Consument en Markt*, art. 12m.

⁸ The website of the ACM offers a search function where all decisions and news, among other topics, may be researched. See *Search Publications*, ACM, <https://perma.cc/AAU5-F843>.

⁹ See, for example, ACM Press Release, Drug Manufacturer Pfizer to Discontinue its Steering Pricing Structure for Enbrel Following Discussions with ACM (Feb. 11, 2022), <https://perma.cc/9K48-BN2Z>.

In 2020, ACM launched an investigation into the pricing of the drug chenodeoxycholic acid (CDCA) manufactured by the pharmaceutical company Leadiant. In particular, it investigated whether there was an abuse of a dominant market position by Leadiant by charging excessive prices. The drug CDCA is used for the treatment of patients with the rare hereditary metabolic disorder cerebrotendineous xanthomatosis (CTX). The investigation was concluded in June 2021 and Leadiant was fined 19,569,500 euros (about US\$19,680,399).¹⁰ ACM found that Leadiant abused its dominant market position in violation of article 24, paragraph 1 of the DCA by charging excessive prices for its drug CDCA for the period from June 2017 through December 2019.¹¹ Since June 2017, Leadiant had charged 14,000 euros (about US\$14,079) for CDCA-Leadian, more than four times the previous price and over 15 times as high as the price of Xenbilox (the old trade name of CDCA) before Leadiant obtained the orphan drug designation in 2014.¹² ACM concluded that this price was both exorbitantly high and unfair und violated competition law rules.¹³ To serve as a deterrent and taking into account additional profits that Leadiant generated, ACM decided to fine the company 19,569,500 euros.¹⁴

¹⁰ ACM, Case no. ACM/20/041239, Summary of Decision on Abuse of Dominant Position by Leadiant (July 1, 2021), <https://perma.cc/VQ59-3RA5>.

¹¹ Id. para. 1.

¹² Id. paras. 4, 5.

¹³ Id. paras. 13-15.

¹⁴ Id. para. 15; MW, art. 56.

South Korea

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I. Introduction

The Korea Fair Trade Commission (KFTC) formulates and administers competition policies, and it hears and decides antitrust cases. The KFTC enforces the Monopoly Regulation and Fair Trade Act (MRFTA)¹ and other laws.² The MRFTA promotes fair and free competition by regulating illegal cartel conduct and unfair trade practices. In 2021,³ the current MRFTA replaced the 1990 MRFTA.⁴

II. Cases

A. Alvogen and AstraZeneca

Alvogen signed a contract with AstraZeneca that stated Alvogen would not produce and release generic equivalents while AstraZeneca had exclusive domestic sales rights for goserelin (brand name: Zoladex), anastrozole (brand name: Arimidex), and bicalutamide (brand name: Casodex) from October 2016 to December 2020. The companies followed the agreement between October 2016 and January 2018.⁵

The KFTC decided the conduct constituted an illegal cartel that imposed limitations on the production and transaction of goods. The KFTC issued a correction order and a future prohibition order and imposed fine of 1.499 billion South Korean won (KRW) (about US\$1.098 million) on Alvogen and KRW1.146 billion (about US\$840,000) on AstraZeneca in October 2022.⁶

B. GSK and Dong-A Pharmaceutical Co., Ltd.

GSK and Dong-A Pharmaceutical Co., Ltd. (Dong-A), made an agreement as follows: GSK, the patent holder of ondansetron (brand name: Zuplenz), provided Dong-A with the right to sell Zuplenz for national and public hospitals and the exclusive right to sell Valtrex (valacyclovir), a

* This report was prepared with the assistance of Law Library intern Younkyung Eum.

¹ Monopoly Regulation and Fair Trade Act (MRFTA), Act No. 17799, Dec. 29, 2020, amended by Act No. 18661, Dec. 28, 2021, <https://perma.cc/74Q6-Y3RS>.

² *About KFTC*, KFTC, <https://perma.cc/FM6L-HP89>.

³ MRFTA, Act No. 17799, Dec. 29, 2020, addenda art. 1.

⁴ Monopoly Regulation and Fair Trade Act (MRFTA), Act No. 4198, Jan. 13, 1990, <https://perma.cc/2SFS-6RXX> (translation as amended by Act No. 10303, May 17, 2010).

⁵ Press Release, FTC News, Sanctions Against Collusion Between Pharmaceutical Companies in Launching Generic Drugs (Oct. 13, 2022), <https://perma.cc/BYZ2-PJ7N> (in Korean).

⁶ Id.

new drug that had not yet been released in Korea. In return, Dong-A, a generic drug maker, withdrew ondansetron from the market and agreed not to develop, manufacture, and sell any products that could compete with Zuplenz and Valtrex in the future. The companies followed the agreement from April 2000 to October 2011.⁷

The KFTC decided the agreement amounted to an illegal cartel.⁸ It ordered the companies to stop their illegal cartel conduct and imposed fines against them under MRFTA,⁹ which totaled KRW5.173 billion (about US\$3.852 million).¹⁰

⁷ Press Release, FTC News, Result of Deliberation on the Delayed Release of Generic Drugs (Oct. 21, 2011), <https://perma.cc/W9P8-QM8Z> (in Korean).

⁸ MRFTA, Act No. 4198, Jan. 13, 1990, as amended by Act No. 10303, May 17, 2010, art. 19, para. 1.

⁹ *Id.* art. 21.

¹⁰ FTC News, Result of Deliberation on the Delayed Release of Generic Drugs, *supra* note 7.

Spain

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I. Introduction

The Comisión Nacional de Mercados y Competencia (National Commission of Markets and Competition, CNMC) is an independent public entity subject to parliamentary oversight. It ensures the proper operation of all markets in the interest of Spain's consumers and corporations through its authority to issue fines for anticompetitive practices.¹

II. Cases

A. Merck Sharp & Dohme

In October 2022, the CNMC imposed a fine of more than 38.9 million euros on the pharmaceutical company Merck Sharp & Dohme (MSD) for abuse of a dominant position.² The decision is based on the fact that the subsidiary of the American pharmaceutical company in Spain filed legal appeals to hinder the entry of another company into the national market for combined hormonal contraceptives of the vaginal ring type, a product over which MSD had a monopoly.³ The company may appeal the CNMC's decision to the National High Court.⁴

MSD enjoyed a monopoly from 2002 to 2018 on the first vaginal ring in Spain because it was the owner of the patent that protected the Nuvaring contraceptive.⁵ A competitor company, Insud Pharma, developed an alternative ring and began marketing it in June 2017 under the name Ornibel.⁶ Among other actions, MSD invoked its patent rights. Alleging reasons of urgency, the company requested that Mercantile Court No. 5 of Barcelona carry out a fact-checking procedure and then issue an injunction against the manufacture and sale of the Ornibel ring in Spain. As allowed under Spain's patent law, the court did so even though Insud Pharma had not been afforded a hearing.⁷

The CNMC decision concluded that the purpose of these legal actions was not to assert MSD's patent rights but rather to suppress competition by a new product entering the market for as long

¹ Comisión Nacional de Mercados y Competencia (CNMC), <https://perma.cc/2LJK-N4CC>.

² Pierre Lomba, *La CNMC Multa con 39 Millones de Euros a la Farmacéutica Merck Sharp and Dohme por Abuso de Posición Dominante*, El País (Oct. 25, 2022), <https://perma.cc/A55L-86PB>.

³ Resolución Merck Sharp Dohme, S.A., S/0026/19, CNMC, Oct. 21, 2022, <https://perma.cc/D97B-4VJM>.

⁴ Marcos Araujo Boyd, *Patent Litigation as a Form of Abuse – The Spanish Decision Against MSD*, Kluwer Competition L. Blog (Nov. 2, 2022), <https://perma.cc/M68S-H56H>.

⁵ Lomba, *supra* note 2.

⁶ Id.

⁷ Id.

as possible.⁸ Insud Pharma was unable to resume Ornibel's production until the mercantile court lifted the injunction in December 2017.⁹ Because the only factory that produced its rings was located in Spain, the stoppage affected distribution and sale of the product in all the countries where it had begun to be marketed, affecting competition in various countries of the European Union (EU).¹⁰

The abuse of a dominant position in recently liberalized markets is considered a very serious infringement of competition law and can lead to fines of up to 10% of the offending company's turnover in the year before imposition of the fine.¹¹ The CNMC fined MSD more than €38.9 million for committing a very serious infraction, constituting abuse of a dominant position as defined in Spain's Law for the Defense of Competition (LDC)¹² and in the Treaty on the Functioning of the European Union (TFEU).¹³

The CNMC decision noted that this kind of behavior has long been in the sights of the EU authorities.¹⁴ In July 2009, the EU Commission published its *Pharmaceutical Sector Inquiry Final Report*, in which it analyzed the reasons for delays in bringing generic drugs to market.¹⁵ In its investigation, the EU Commission found that some legal actions seemingly intended to protect patent rights were part of a strategy to extend the duration of the protection conferred by a patent, in order to block or hinder the entry into the liberalized market of a new, competing product.¹⁶

B. Novartis and Curium

In another case, the CNMC fined the multinational pharmaceutical companies Novartis and Curium more than €5.7 million for monopolizing distribution of cancer detection products in the Spanish market.¹⁷ The CNMC found that a cartel composed of subsidiaries of the multinationals had divided up the Spanish market for at least four years and dictated the prices charged to hospitals for key cancer detection products.¹⁸ It imposed a €5.76 million fine against Advanced

⁸ Id.

⁹ Boyd, *supra* note 4.

¹⁰ Lomba, *supra* note 2. Although MSD dropped its infringement claim after its patent expired, Insud Pharma's damages claim against MSD is pending. Boyd, *supra* note 4.

¹¹ Lomba, *supra* note 2.

¹² Ley 15/2007, de 3 de julio, de Defensa de la Competencia, Boletín Oficial del Estado 2007, 28848, <https://perma.cc/D3EG-EFBQ>.

¹³ Consolidated Version of the Treaty on the Functioning of the European Union (TFEU), 2016 O.J. (C 202) 1, arts. 101-106, <https://perma.cc/FBA8-VBX5>.

¹⁴ Resolución Merck Sharp Dohme, S.A. para. 269.

¹⁵ EU Comm'n, *Pharmaceutical Sector Inquiry Final Report* (July 2009), <https://perma.cc/MN49-4VAB>.

¹⁶ Id. at 393.

¹⁷ Resolución Expediente S/0644/18 Radiofármacos c/ Novartis, CNMC, Feb. 9, 2021, <https://perma.cc/2D4R-JR3S>.

¹⁸ Carlos Segovia, *Un Cártel de Farmacéuticas Pactó Precios de sus Productos para Detección de Cáncer Durante Cuatro a Costa de los Hospitales Españoles*, El Mundo (Feb. 9, 2021), <https://perma.cc/83Y2-XUVH>.

Accelerator Applications Ibérica, SLU (AAA), a subsidiary of Novartis, and Curium Pharma Spain, owned by Glo Holdco.¹⁹

According to the CNMC's decision, both companies created a monopoly on radiopharmaceuticals, used in nuclear medicine in order to obtain an image of the physiology, biochemistry or anatomical pathology of a body system without altering its function.²⁰ Radiopharmaceuticals are mostly used for the detection and monitoring of diseases such as cancer.²¹ The sanctioned companies were taking advantage of their duopoly by deceiving public and private hospitals from at least 2014 to 2018, when the CNMC's inspections began.²²

The CNMC succeeded at proving that the two sanctioned companies engaged in a joint scheme to distribute a large number of radiopharmaceutical supply contracts to public and private hospitals throughout Spain.²³

The scheme had two parts. The first involved subcontracting agreements: In hospitals where there could be greater competition, the company in the best position to supply the radiopharmaceutical due to the proximity of its cyclotron (particle accelerator) did not present the best offer.²⁴ Consequently, that company was not awarded the contract, and the company with the furthest cyclotrons from the contracting hospital obtained the award at a higher price than would have been the case under normal conditions.²⁵ Subsequently, the successful bidder subcontracted the provision to its competitor, with the closest cyclotron, at a price significantly lower than that charged to hospitals.²⁶

The second part of the scheme involved the assignment of exclusive clients: The companies maintained a noncompetition agreement in many centers of the national territory.²⁷ This maneuver was implemented by self-exclusions in the tenders, due to nonappearance or errors in the bidding process, or by the presentation of offers at the maximum price of the tender.²⁸ This strategy allowed the competitor to be awarded contracts at prices substantially higher than those at which their proximity to customers would have allowed them to bid, given the certainty that their competitor would not act competitively.²⁹

¹⁹ Id.

²⁰ Id.

²¹ Id.

²² Id.

²³ Id.

²⁴ Press Release, CNMC, La CNMC Multa con 5,76 Millones de Euros a las Dos Principales Farmacéuticas Productoras de Radiofármacos PET en España, Feb. 9, 2021, <https://perma.cc/25AE-S6ZR>.

²⁵ Id.

²⁶ Id.

²⁷ Id.

²⁸ Id.

²⁹ Segovia, *supra* note 18.

The CNMC concluded that the companies were the only two companies with the capability to provide the service to hospitals throughout Spain, which has exacerbated the scheme's effects and increased the cartel's ability to influence the awarding of contracts by hospitals.³⁰

³⁰ Id.

Taiwan

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I. Introduction

The major competition legislation in Taiwan is the Fair Trade Act (FTA).¹ Chapter II of the Act prohibits restraints of competition, including the abuse of monopoly position, concerted action, resale price maintenance, and other non-price vertical restrictions.²

The Fair Trade Commission (FTC) is the competent authority in charge of the FTA.³ According to the FTC, the commission “is charged with drafting fair trading policy, laws, regulations, and investigating and handling various activities impeding competition, such as monopolies, mergers, concerted actions, and other restraints on competition or unfair trade practices by enterprises.”⁴

II. Cases

We located two FTC enforcement decisions against pharmaceutical companies for FTA chapter II violations, which were tried and upheld by the court between 2010 and today. The third case surveyed, which does not appear to have been tried in the court, also ended with the company being fined by the FTC.

A. Sinphar Pharmaceuticals Co., Ltd.

According to the FTC, in 2014, Sinphar Pharmaceuticals Co., Ltd. (Sinphar Pharm) impelled several downstream Sinphar counter drug stores to follow the retail prices recommended by Sinphar Pharm. It threatened to terminate the contract and cancel giveaway drugs and rebates if the drug stores failed to adhere to the recommended prices.⁵

* This report was written with the assistance of Xiaozhu Zhong, Foreign Law Intern.

¹ Fair Trade Act (promulgated Feb. 4, 1991, last amended on June 14, 2017), Laws and Regulations Database of the Republic of China (Taiwan), <https://perma.cc/4WJ3-K3WH> (in Chinese), <https://perma.cc/7TPR-WDTB> (English translation).

² Id. ch. II.

³ Id. art. 6.

⁴ *Organization and Duties*, FTC (Mar. 15, 2022), <https://perma.cc/8CJY-PA3T>.

⁵ FTC Enforcement Decision, Gong Chu Zi No. 106024 (April 10, 2017), <https://perma.cc/2LLS-D5U6> (in Chinese).

The FTC decided that Sinphar Pharm violated article 19 (1) of the FTA of 2015,⁶ by restraining downstream price setting for the company's products. In the enforcement decision, issued on April 10, 2017, the FTC ordered the pharmaceutical company to immediately cease the unlawful conduct and imposed an administrative fine of TWD 2.5million (about US\$80,000) on Sinphar Pharm.⁷

Sinphar Pharm refused to accept the enforcement decision and filed an administrative lawsuit before the Taipei High Administrative Court. On September 6, 2017, the court dismissed the lawsuit and upheld the FTC's decision.⁸

B. Hoan Pharmaceuticals Ltd.

According to the FTC, in 2008, Hoan Pharmaceuticals Ltd. (Hoan) marketed the Lexapro 10mg film-coated tablets at the minimum bid price far below its purchasing cost, to make it impossible for other suppliers to compete.⁹

The FTC decided that the improper measure to induce the trading counterparts of the competitors to transact with Hoan would restrict competition and impede fair competition, which violated article 19(3) of the FTA of 2010.¹⁰ In the enforcement decision issued on September 8, 2011, the FTC ordered the pharmaceutical company to immediately cease the unlawful conduct and imposed on Hoan an administrative fine of TWD3 million (about US\$100,000).¹¹

Hoan refused to accept the FTC's decision and filed a lawsuit before the Taipei High Administrative Court. In 2013, the court revoked the FTC's decision. The FTC then appealed to the Supreme Administrative Court. The court in January 2014 overruled the original decision of the Taipei High Administrative Court and sent the case back to the original court for retrial. In June 2014, the Taipei High Administrative Court retried this case and decided that FTC's decision was correct, dismissing Hoan's lawsuit.¹² Hoan then appealed to the Supreme Administrative Court, which dismissed the appeal and upheld the FTC's decision.¹³

⁶ Fair Trade Act (promulgated Feb. 4, 1991, as amended June 24, 2015), FTC, <https://perma.cc/H2TZ-QB37> (English translation).

⁷ FTC Enforcement Decision, Gong Chu Zi No. 106024, *supra* note 5.

⁸ Taipei High Administrative Court Judgment No. 795 of 2017 (Sept. 6, 2017), <https://perma.cc/BH4L-TZNY> (in Chinese).

⁹ FTC Enforcement Decision, Gong Chu Zi No. 100163 (Sept. 8, 2011), <https://perma.cc/H6V4-2HS3> (in Chinese).

¹⁰ Fair Trade Act (promulgated Feb. 4, 1991, as amended May 2010), <https://perma.cc/6QPY-44C3>.

¹¹ FTC Enforcement Decision, Gong Chu Zi No. 100163, *supra* note 9.

¹² Taipei High Administrative Court Judgment No. 780 of 2012 (Aug. 29, 2013), <https://perma.cc/3CD6-9D88>; Supreme Administrative Court Judgment No. 31 of 2014 (Jan. 17, 2014), <https://perma.cc/ZY38-32VP>; Taipei High Administrative Court Judgment No. 15 of 2014 (June 26, 2014), <https://perma.cc/GH42-K7LC> (all in Chinese).

¹³ Supreme Administrative Court Judgment No. 1683 of 2014 (Nov. 21, 2014), <https://perma.cc/U93M-C35A> (in Chinese).

C. TTY Biopharm Co. Ltd. and Lotus Pharmaceutical Co. Ltd.

According to the FTC, in 2009, 2013, and 2018, TTY Biopharm Co Ltd. (TTY) signed three exclusive distribution agreements with Lotus Pharmaceutical Co Ltd. (Lotus), under which TTY had the exclusive agency to market the Lotus's colon cancer drugs, the Furil capsules. In exchange, TTY would pay Lotus an amount of money. However, TTY never placed any orders to purchase Furil capsules. As a result, Lotus's Furil capsules were never sold for a number of years. Both companies achieved the mutual understanding to prevent Furil capsules from being sold in the market.¹⁴

On May 14, 2021, the FTC decided that the practice of restricting the business activities was a concerted action in violation article 15(1) of the FTA. As a result, the FTC ordered the companies to immediately cease the unlawful conduct, and imposed administrative fines of TWD220 million (about US\$7 million) on TTY and TWD65 million (about US\$2 million) on Lotus.¹⁵ No information was located concerning whether this FTC decision has been challenged in a Taiwanese court.

¹⁴ FTC Enforcement Decision, Gong Chu Zi No. 110032 (May 14, 2021), <https://perma.cc/2YSV-6BXC> (in Chinese).

¹⁵ Id.

United Kingdom

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I. Introduction

The Competition and Markets Authority (CMA) is the competition regulator in the United Kingdom (UK). The CMA is an independent, non-ministerial department that is responsible for promoting competition to benefit consumers both within and outside the UK. It is empowered to undertake investigations to determine if there has been anticompetitive behavior and to take enforcement action, such as requiring parties to modify or terminate anticompetitive agreements or conduct, and imposing fines of up to 10% of a company's worldwide turnover.¹ When the CMA calculates a financial penalty, it is required to take a number of factors into account, such as the seriousness and duration of the infringement and the desirability of deterring such conduct.²

The CMA may also disqualify corporate directors where it determines they knew or should have known that their company was infringing competition laws and their conduct makes them unfit to be in control of the management.³ In order to disqualify a director, the CMA must apply to the court under section 9A of the Company Directors Disqualification Act 1986.⁴ The CMA is also able to accept a disqualification undertaking voluntarily offered from directors themselves instead of undertaking court proceedings.⁵ The CMA typically accepts disqualification undertakings from directors,⁶ and in addition to avoiding litigation, such undertakings normally result in the CMA reducing the time period of the disqualification.⁷

Competition law in England and Wales also permits private actions for damages, which the courts have stated “play an important role in competition law, alongside public enforcement, in strengthening the working of the competition rules and discouraging anti-competitive agreements and practices.”⁸

¹ Competition Act 1998, c. 41 §§ 32, 33d & 36, <https://perma.cc/83QU-75KU>.

² Id. § 36(7A).

³ Company Directors Disqualification Act 1986, c. 46 §§ 9A-9E, <https://perma.cc/5U6P-QSN7>.

⁴ Id.

⁵ Id. § 9B.

⁶ See, e.g., CMA, Fludrocortisone Acetate Tablets: Director Disqualification, Gov.uk (June 4, 2020), <https://perma.cc/HU27-LY3L>.

⁷ Nicole Kar and Rok Lasan, *CMA Director Disqualification: A Harbinger of Stronger Enforcement?*, Thomson Reuters Practical Law (Jan. 26, 2017), <https://perma.cc/KP7T-4HQ5>.

⁸ Secretary of State for Health and another v Servier Laboratories Ltd and others, [2022] EWHC 369 (Ch) ¶ 242, <https://perma.cc/YR6T-VG6Q>.

A number of cases surveyed reveal that CMA investigations involving pharmaceutical companies were often resolved through settlements and director disqualification undertakings, or were closed on administrative priority grounds.⁹ A number of pharmaceutical cases are currently in the appeals stage at the Competition Appeals Tribunal.¹⁰ We located two cases heard in the courts in the past 10 years where the court either upheld or reduced the financial penalty and these are listed below.

II. Cases

A. Lexon et al.

During 2015 to 2016, Lexon, King Pharmaceuticals Ltd, and Alissa Healthcare Research Ltd exchanged sensitive strategic commercial information about the drug nortriptyline, including the volume of supply and Alissa Healthcare Research Ltd's plans to enter the market, in order, it was determined, to prevent the price of the drug from falling.¹¹ Specifically, Lexon, King Pharmaceuticals Ltd, and Auden McKenzie (later taken over by Accord UK) shared information on the supply of nortriptyline to a pharmaceutical wholesaler. This practice was found to breach chapter I of the Competition Act 1998, which prohibits anti-competitive agreements that prevent, restrict or distort competition. Specifically,

- (1) . . . agreements between undertakings, decisions by associations of undertakings or concerted practices which –
 - (a) may affect trade within the United Kingdom, and
 - (b) have as their object or effect the prevention, restriction or distortion of competition within the United Kingdom, are prohibited unless they are exempt in accordance with the provisions of this Part.
- (2) Subsection (1) applies, in particular, to agreements, decisions or practices which –
 - (a) directly or indirectly fix purchase or selling prices or any other trading conditions;
 - (b) limit or control production, markets, technical development or investment;
 - (c) share markets or sources of supply;
 - (d) apply dissimilar conditions to equivalent transactions with other trading parties, thereby placing them at a competitive disadvantage;
 - (e) make the conclusion of contracts subject to acceptance by the other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts.¹²

⁹ See, e.g., Pharmaceutical Sector: Suspected Anti-Competitive Agreements and Conduct 50780, Gov.uk (last updated Nov. 2019), <https://perma.cc/B48P-C7RB>.

¹⁰ See, e.g., CMA, Pharmaceuticals: Anti-Competitive Agreements: Case Reference 50511-2, Gov.uk (last updated Sept. 2, 2022), <https://perma.cc/CWL4-X4QW>.

¹¹ Lexon (UK) v Competition and Markets Authority [2021] CAT 5, <https://perma.cc/WQ8L-QUQY>. See further CMA, Nortriptyline Investigation: Anti-Competitive Agreement and Conduct, Gov.uk (last updated Feb. 25, 2021), <https://perma.cc/MZ4W-8JG7>.

¹² Competition Act 1998, c. 41 § 2.

This practice was also determined to be an “infringement by object” within the meaning of article 101(1) of the Treaty on the Functioning of the European Union (TFEU).¹³ The prohibition in article 101(1) is “materially the same”¹⁴ as that in chapter I the Competition Act 1998; it prohibits “all agreements between undertakings, decisions by associations of undertakings and concerted practices which may affect trade between Member States and which have as their object or effect the prevention, restriction or distortion of competition within the internal market.”¹⁵

The CMA opened an investigation into the actions of these companies in October 2017. In September 2019, King Pharmaceuticals Ltd and Alissa Healthcare Research Ltd admitted the infringement of competition laws and agreed to settle.¹⁶ In addition to fines, the settlement resulted in a £1 million (about US\$1.14 million) payment to the National Health Service (NHS) by Accord-UK and Auden McKenzie, along with a disqualification undertaking from a director of one of the companies.

In March 2020, the CMA issued a decision finding that the companies had engaged in a practice of sharing commercially sensitive information with the intention of preventing the price of nortriptyline from falling.¹⁷ Lexon filed an appeal against this decision in May 2020.¹⁸ In February 2021, the Competition Appeal Tribunal issued its judgment and dismissed Lexon’s appeal in its entirety, upholding the decision of the CMA that Lexon had illegally shared commercially sensitive information in an attempt to maintain the price of nortriptyline.¹⁹ The Competition Appeal Tribunal also upheld the £1.2 million (about US\$1.37 million) fine the CMA had imposed on Lexon.²⁰

B. Generics (UK) Ltd et al.

During 2001 to 2004, GlaxoSmithKline, the supplier of paroxetine (brand name Seroxat), which at the time was a “blockbuster drug” that was the company’s highest-selling pharmaceutical in the UK,²¹ challenged the makers of a generic version of the drug. GlaxoSmithKline argued the generic manufacturers were infringing its patents and started litigation against them. Prior to going to trial, GlaxoSmithKline and the generic suppliers entered into an agreement that included terms prohibiting the suppliers from independently entering the UK market with generic

¹³ Consolidated Version of the Treaty on the Functioning of the European Union, 2016 O.J. (C 202) 1, art. 101(1), <https://perma.cc/FBA8-VBX5>.

¹⁴ Lexon (UK) v Competition and Markets Authority [2021] CAT 5, ¶ 59.

¹⁵ Treaty of the Functioning of the European Union, art. 101(1).

¹⁶ CMA, Nortriptyline Investigation: Anti-competitive Agreement and Conduct, *supra* note 11.

¹⁷ CMA, Decision of the Competition and Markets Authority: Nortriptyline Tablets: Information Exchange, Case No. 50507.2 (Mar. 4, 2020), <https://perma.cc/XYT8-LSTL>.

¹⁸ CMA, Nortriptyline Investigation: Anti-competitive Agreement and Conduct, *supra* note 11.

¹⁹ Lexon (UK) v Competition and Markets Authority [2021] CAT 5, ¶ 288.

²⁰ *Id.*

²¹ Generics (UK) Ltd and others v Competition and Markets Authority [2018] CAT 4, ¶ 2, <https://perma.cc/4PKL-KEU2>.

paroxetine.²² GlaxoSmithKline made payments and other transfers to them that totaled over £50 million (about US\$56.87 million). An investigation into this conduct was initially started by the Office of Fair Trading and transferred to the CMA, which determined the agreements were “pay for delay” arrangements, i.e., payments made to delay or restrict entry of generic competitors into the UK market.²³

In 2016, the CMA issued a decision that the agreements infringed chapter I of the Competition Act 1998, discussed above in part II.A. It also determined that the payments from GlaxoSmithKline infringed chapter II of the act, which prohibits abuse of a dominant position that could affect trade in the UK. Specifically, chapter II provides:

- (1) . . . any conduct on the part of one or more undertakings which amounts to the abuse of a dominant position in a market is prohibited if it may affect trade within the United Kingdom.
- (2) Conduct may, in particular, constitute such an abuse if it consists in—
 - (a) directly or indirectly imposing unfair purchase or selling prices or other unfair trading conditions;
 - (b) limiting production, markets or technical development to the prejudice of consumers;
 - (c) applying dissimilar conditions to equivalent transactions with other trading parties, thereby placing them at a competitive disadvantage;
 - (d) making the conclusion of contracts subject to acceptance by the other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of the contracts.²⁴

The actions were also in violation of TFEU article 101 (discussed in part II.A) and article 102, which prohibits abuse of a dominant market position.

The CMA imposed a fine of £37.6 million (about US\$42.81 million) on GlaxoSmithKline; a fine of £5.8 million (about US\$6.6 million) on Generic UK; and a fine of £1.5 million (about US\$1.7 million) on Actavis UK Limited, Xellia Pharmaceuticals ApS, and Alpharma LLC together.²⁵ GlaxoSmithKline appealed the decision to the Competition Appeal Tribunal, which issued a judgment in 2018 that dismissed some of the grounds of appeal and referred the remaining grounds to the Court of Justice of the European Union for a preliminary ruling on questions of European Union law.²⁶

²² CMA, Decision of the Competition and Markets Authority: Paroxetine, Case CE-9531/11 (Feb. 12, 2016), <https://perma.cc/L8FF-8DUE>.

²³ Id. ¶ 1.20.

²⁴ Competition Act 1998, c. 41 § 18.

²⁵ CMA, Decision of the Competition and Markets Authority: Paroxetine ¶ 11.94.

²⁶ Generics (UK) Ltd and others v Competition and Markets Authority [2018] CAT 4.

In a January 2020 ruling, the Court of Justice confirmed that the object of the “pay for delay” agreement was to restrict competition and may constitute an abuse of dominant position.²⁷ As a result of this ruling, the Competition Appeal Tribunal issued a supplementary judgment in May 2021 dismissing the remaining grounds of appeal of the pharmaceutical companies.²⁸ The Competition Appeal Tribunal also evaluated the CMA’s calculation of penalties, and determined it would reduce the total fines imposed from £44.99 million (about US\$51.22 million) to £27.1 million (about US\$30.85 million). Of this, GlaxoSmithKline’s total fine was £22.2 million (about US\$25.27 million); Generic UK and Merck KGaA (Generic UK’s former parent company) were fined £3.9 million (about US\$4.44 million); and Actavis UK Limited, Xelia Pharmaceuticals ApS, and Alpharma LLC were together fined a total of just over £1 million (about US\$1.14 million).²⁹

²⁷ *Generics (UK) Ltd and others v Competition and Markets Authority*, C-307/18 [2020]; Bus LR 1323, [2020] All ER (D) 152, <https://perma.cc/2GB2-XH2Z>.

²⁸ *Generics (UK) Ltd, GlaxosmithKline PLC et al v Competition and Markets Authority* [2021] CAT 9 (supplementary judgment) ¶ 201, <https://perma.cc/LNN7-MCJW>.

²⁹ *Id.* ¶ 199.

Appendix

I. Introduction

This appendix provides information on countries we researched for this project where no pharmaceutical antitrust cases since 2010 resulting in fines or other sanctions were found. The surveys provide information regarding antitrust regulation and enforcement in these countries.

II. Jurisdictional Surveys

Canada

In Canada, the Competition Bureau, an independent federal law enforcement agency, is responsible for promoting and protecting competition “for the benefit of Canadian consumers and businesses.”¹ The Competition Bureau also enforces a number of federal statutes, most notably the Competition Act.² According to a guide to pharmaceutical antitrust in Canada, published by law firm Norton Rose Fulbright Canada LLP,

[s]ection 45 [of the Competition Act] creates a per se criminal offence for cartel-type conspiracy agreements between competitors, while section 90.1 creates a civil remedy that allows the Commissioner [of Competition] to challenge agreements that are not within the scope of a section 45 offence but that may prevent or lessen competition substantially.

Criminal charges can be laid against individuals and corporations under section 45 for conspiring to fix prices, allocate markets or restrict supply, and the penalty can be a fine of up to C\$25 million [about US\$18.7 million] or up to 14 years of imprisonment, or both.

Under section 90.1, the Commissioner can bring an application to the Competition Tribunal (the Tribunal). The only available remedy is the issuance, by the Tribunal, of an order that prohibits the offending conduct or that requires the person to take some action, or both.

Other anticompetitive conduct is also prohibited under the Act, including:

- abuse of dominant position (the Tribunal can make an order prohibiting the offending conduct and imposing an administrative monetary penalty of up to C\$10 million [about US\$7.46 million] for a first order);
- refusal to deal (the Tribunal can make an order requiring that the supplier accept a customer);
- price maintenance (the Tribunal can make an order prohibiting the offending conduct);
- and

¹ *Building a More Competitive Canada: Competition Bureau Canada – 2021-22 Annual Report*, Competition Bureau Canada (Oct. 12, 2022), <https://perma.cc/W4C9-PD4G>.

² Competition Act, R.S.C., 1985, c. C-34, <https://perma.cc/RF6Y-V6QQ>.

- exclusive dealing, tied selling and market restrictions (the Tribunal can make an order prohibiting the offending conduct).³

While the Competition Bureau may lay charges against corporations or individuals for anticompetitive business practices, there are no reported cases of pharmaceutical companies or executives being charged with any offenses. The Competition Bureau regularly opens investigations into the corporate practices of pharmaceutical companies but in general enters into consent agreements or issues recommendations. This was the case in the Competition Bureau's review of the acquisition of Allergan plc by Teva Pharmaceutical Industries Ltd. in 2016.⁴ In 2022, the Competition Bureau also closed two investigations into "anticompetitive patent litigation settlement agreements," as the evidence suggested that the agreements did not breach the Competition Act.⁵ Other notices of consent agreements or closed investigation are available on the Competition Bureau's website.⁶

With respect to current enforcement trends, law firm Blakes explained:

The [Competition] Bureau has initiated a number of inquiries in the pharmaceutical industry related to alleged attempts to limit entry or expansion by the producers of generics or biosimilars. In particular, these inquiries have involved allegations that innovative pharmaceutical companies have engaged in various strategies to restrict entry and expansion by generic and biosimilar producers. The [Competition] Bureau continues to express keen interest in bringing such cases to ensure Canadian consumers have access to generic and biosimilar medicines, and the Commissioner [of Competition] has warned the pharmaceutical industry that any further alleged refusals to supply samples of brand-name drugs to generic manufacturers will not be tolerated.⁷

In March 2021, the Competition Bureau joined an international working group that will

examine a variety of issues related to mergers in the pharmaceutical industry, including potential updates and expansion of current theories of harm, the evaluation of the full

³ Stephen Nattrass et al., Norton Rose Fulbright LLP, *Lexology Getting The Deal Through, Pharmaceutical Antitrust 2021: Canada* (Jun. 2021), <https://perma.cc/EY3V-P88D>.

⁴ Competition Bureau Canada, *Teva's Acquisition of Allergan's Generic Pharmaceuticals Business: Position Statement* (Apr. 18, 2016), <https://perma.cc/XT2T-E78X>.

⁵ Competition Bureau Canada, *Competition Bureau Statement Regarding its Proactive Monitoring of Potentially Anticompetitive Patent Litigation Settlement Agreements Between Branded and Generic Drug Manufacturers* (May 20, 2022), <https://perma.cc/K5Q7-NFPG>.

⁶ See e.g., Competition Bureau Canada, *Competition Bureau Completes Investigation into Alleged Abuse of Dominance by Janssen Inc.* (Feb. 20, 2019), <https://perma.cc/F2BX-TFSS>; Competition Bureau Canada, *Pfizer to Sell Four Pharmaceutical Products to Resolve Competition Concerns Following its Acquisition of Hospira* (Aug. 14, 2015), <https://perma.cc/TA4H-CLST>; Competition Bureau Canada, *Competition Bureau Completes Abuse of Dominance Investigation into Practices of Celgene, Pfizer and Sanofi* (Dec. 20, 2018), <https://perma.cc/YSR8-KFKE>.

⁷ *Pharmaceutical Industry: Competition Law in Canada*, Blake, Cassels & Graydon LLP (2021), <https://perma.cc/7KKH-4XKS>.

range of effects of a merger on innovation, as well as potential remedies to resolve emerging concerns.⁸

The group comprises the Competition Bureau, the U.S. Federal Trade Commission, the European Commission Directorate General for Competition, the United Kingdom's Competition and Market Authority, the U.S. Department of Justice, and the Australian Offices of State Attorneys General.⁹

Germany

In Germany, competition law is regulated by European Union (EU) law, in particular articles 101-106 of the Treaty on the Functioning of the European Union (TFEU) and directly applicable EU legislation to implement the TFEU provisions, and by national competition law, in particular the German Competition Act (*Gesetz gegen Wettbewerbsbeschränkungen*, *GWB*).¹⁰ Both the European Commission and the national competition authorities (NCAs) of the EU Member States are authorized to enforce the EU competition law rules.¹¹ National competition law rules apply to anti-competitive conduct that does not affect cross-border trade in the EU.

The German NCA is the German Federal Cartel Office (FCO) (*Bundeskartellamt*).¹² It is an independent higher federal authority tasked with enforcing the German Competition Act as well as EU competition law, among other things.¹³ The FCO may impose administrative fines of up to one million euros (about US\$ one million) or up to 10% of the annual turnover for an undertaking depending on the violation of competition law.¹⁴ Section 52b, paragraph 4 of the German Medicinal Products Act (*Arzneimittelgesetz*, *AMG*) explicitly provides that the German Competition Act applies to the supply of pharmaceutical products.¹⁵

⁸ Competition Bureau Canada, *Competition Bureau Joins Multilateral Working Group on Analysis of Pharmaceutical Mergers* (Mar. 16, 2021), <https://perma.cc/9P8N-7LNV>.

⁹ *Id.*

¹⁰ Consolidated Version of the Treaty on the Functioning of the European Union (TFEU), 2016 O.J. (C 202) 1, arts. 101-106, <https://perma.cc/FBA8-VBX5>; Consolidated Version of Regulation (EC) No. 1/2003, 2003 O.J. (L 1) 1, <https://perma.cc/59KD-B26B>; *Gesetz gegen Wettbewerbsbeschränkungen* [*GWB*], June 26, 2013, *Bundesgesetzblatt* [*BGBl.*] I at 1750, 3245, as amended, <https://perma.cc/Q5ZW-KZFP> (original), <https://perma.cc/94MV-GPRY> (English translation, updated through July 9, 2021).

¹¹ Regulation (EC) No. 1/2003, arts. 4, 5.

¹² *GWB*, § 48. For an English-language overview of the German Federal Cartel Office, see *Bundeskartellamt, The Bundeskartellamt. Organisation, Tasks and Activities* (Dec. 2021), <https://perma.cc/LZ85-LR88>.

¹³ *GWB*, §§ 48, 49, 51.

¹⁴ *Id.* §§ 81, 81c.

¹⁵ *Arzneimittelgesetz* [*AMG*], Dec. 12, 2005, *BGBl.* I at 3394, as amended, § 52b, para. 4, <https://perma.cc/67H8-ML2Y> (original), <https://perma.cc/5F6G-TT59> (English translation, updated through Aug. 10, 2021).

The website of the German Federal Cartel Office offers a case database, which includes published case summaries and decisions in German as well as in English.¹⁶ Decisions of the competition authority may be appealed to the higher regional court Düsseldorf (Oberlandesgericht Düsseldorf, OLG Düsseldorf).¹⁷ Research has not revealed any cases where pharmaceutical companies have been sanctioned by the FCO for anticompetitive behavior between 2010 and today. The website of the FCO offers an overview of how it applies competition law in the health care sector and lists cases, including discontinued cases.¹⁸

New Zealand

No court actions against pharmaceutical companies under antitrust law in New Zealand during the period from 2010 to the present were located.

Antitrust and competition law is regulated in New Zealand by the Commerce Commission,¹⁹ which enforces the Commerce Act 1986.²⁰ The Commerce Commission provides a searchable case register at <https://comcom.govt.nz/case-register>.

Norway

The Norwegian Competition Authority (Konkrransetilsynet) appears not to have fined or otherwise sanctioned pharmaceutical companies for violations of competition law rules on cartels, monopoly, or undue influence rules during the period between 2010 and November 14, 2022.

Competition law is regulated in the Norwegian Competition Act.²¹ The law is based on the European Economic Area (EEA) Agreement, which was transposed into Norwegian law through the Norwegian EEA Act.²² As provided for in article 56 of the EEA Agreement, the Norwegian Competition Authority enforces competition law cases that involve non-EU actors and situations where a Norwegian company has a dominant position, the European Commission enforces cases that involve EU member states, and the EFTA Surveillance Authority (ESA) oversees compliance in cases involving the EEA states.²³

The Norwegian Competition authority publishes its decisions online at <https://konkurransetilsynet.no/vedtak-og-uttalelser>.

¹⁶ *Case Database*, Bundeskartellamt, <https://perma.cc/G3SM-DT8H>.

¹⁷ GWB, § 73.

¹⁸ *Health Sector*, Bundeskartellamt, <https://perma.cc/JB9Y-B29Q>.

¹⁹ *Our Role*, Commerce Commission, <https://perma.cc/95YE-45L9>.

²⁰ Commerce Act 1986, <https://perma.cc/753G-LXKY>.

²¹ Lov om konkurranse mellom foretak og kontroll med foretakssammenslutninger (konkurranseloven) (LOV 2004-03-05-12), <https://perma.cc/Z92X-NBLZ>.

²² Lov om gjennomføring i norsk rett av hoveddelen i avtale om Det europeiske økonomiske samarbeidsområde (EØS) m.v. (EØS-loven) (LOV 1992-11-27-109), <https://perma.cc/7W6F-4BTJ>.

²³ Id. art. 56.

The ESA publishes its decisions online at <https://www.eftasurv.int/competition/competition-cases>. It appears the ESA has not fined or otherwise penalized a Norwegian pharmaceutical company for competition law violations between 2010 and November 14, 2022. A complaint lodged with ESA against a Norwegian company in 2000 resulted in the overhaul of pharmaceutical market and a new Norwegian Pharmacy Act entered into force in 2001, while ESA considered the original complaint exempt from the EEA rules.²⁴

The European Commission makes its decisions available online at https://ec.europa.eu/competition/elojade/isef/index.cfm?clear=1&policy_area_id=1%2C2%2C3.²⁵

Singapore

In Singapore, the Competition Act 2004 governs competition and the abuse of a dominant position in the market.²⁶ The Act establishes the Competition and Consumer Commission of Singapore (CCCS), which is responsible for administering and enforcing the Competition Act.²⁷ Among other things, the Act prohibits anti-competitive agreements, abuse of dominance, and anti-competitive mergers.²⁸

No antitrust cases involving pharmaceutical companies were located that were tried in a Singapore court between 2010 and today. The CCCS website maintains a public register, which provides information relating to its decisions.²⁹ Research has not revealed any cases where the CCCS issued infringement decisions against pharmaceutical companies in the past ten years. In June 2014, the then Competition Commission of Singapore (CCS) began an investigation into the exclusive agreements Cordlife Group Limited had with baby fair organizers and hospitals. The CCS ceased the investigation after Cordlife provided voluntary commitments to remove these exclusive arrangements and to ensure that it would not enter into such arrangements in the future.³⁰ In another case in 2015, the CCS announced a provisional decision to block Parkway Holding's Ltd's proposed acquisition of RadLink-Asia Pte Limited. The anticipated merger was subsequently abandoned.³¹

²⁴ See ESA, *Pharmaceutical Wholesalers and Pharmacies in Norway*, <https://perma.cc/MUY6-VMDJ>; ESA, *EFTA Surveillance Authority does not Object to an Agreement between Pharmaceutical Wholesalers and Pharmacies* (Sept. 13, 2002), <https://perma.cc/MUY6-VMDJ>.

²⁵ For more on decisions by the European Commission, see the EU entry in this report.

²⁶ The Competition Act of 2004 (2020 rev. ed.), Singapore Statutes Online, <https://perma.cc/Q74T-PJF7>.

²⁷ Id. s. 6.

²⁸ Id. ss. 34, 47, 54.

²⁹ *Public Register*, CCCS, <https://perma.cc/P2D8-BEUC>.

³⁰ *Media Release, Cordlife Removes Exclusive Arrangements with Baby Fair Organisers and Hospitals Following Investigation by CCS*, CCCS (June 17, 2015), <https://perma.cc/8A7A-6NX8>.

³¹ *Proposed Acquisition by Parkway of RadLink*, CCCS (Dec. 7, 2018), <https://perma.cc/8FLP-69JB>.

Switzerland

In Switzerland, competition law is regulated in the Cartel Act (CartA) (Kartellgesetz, KG) and its implementing ordinances, the Merger Control Ordinance (Verordnung über die Kontrolle von Unternehmenszusammenschlüssen) and the Cartel Act Sanctions Ordinance (KG-Sanktionsverordnung).³² In addition, Switzerland has concluded an agreement with the European Union (EU) to cooperate with regard to the application of their competition laws.³³

The Swiss competition authority is the Competition Commission (COMCO) (Wettbewerbskommission, WEKO).³⁴ It is an independent federal authority tasked with enforcing competition law, among other things.³⁵ COMCO may impose administrative fines of up to 10% of an undertaking's annual turnover in Switzerland.³⁶

The website of the Swiss Competition Commission offers a case database, where decisions from 2009 until today are published in the original language (mostly German and French).³⁷ Selected press releases are available in English.³⁸ We were unable to locate cases where pharmaceutical companies have been sanctioned by COMCO for anticompetitive behavior between 2010 and today. However, in September 2019, COMCO opened an investigation into the pricing and market sharing agreements of several manufacturers and distributors of the active pharmaceutical ingredient Scopolamine Butylbromide.³⁹ The investigation is ongoing.

Sweden

The Swedish Competition Authority has not fined or otherwise sanctioned pharmaceutical companies for violations of competition rules related to cartel, monopoly, or undue influence rules during the period between 2010 and November 14, 2022. Currently, one case of potential horizontal cooperation between digital health service providers is pending with the Swedish Competition Authority.⁴⁰ In 2013, the Swedish Competition Authority sued Aleris Diagnostik AB,

³² Kartellgesetz [KG], Oct. 6, 1995, Systematische Rechtssammlung [SR] 251, as amended, <https://perma.cc/39AP-8T3G> (original), <https://perma.cc/JWD4-BEYR> (English translation); Verordnung über die Kontrolle von Unternehmenszusammenschlüssen, June 17, 1996, SR 251.4, as amended, <https://perma.cc/X8YX-K7JL> (original), <https://perma.cc/RCP2-VLEM> (English translation); KG-Sanktionsverordnung [SVKG], Mar. 12, 2004, SR 251.5, as amended, <https://perma.cc/3BVR-QJSF> (original), <https://perma.cc/76UK-9KLN> (English translation).

³³ Agreement Between the European Union and the Swiss Confederation Concerning Cooperation on the Application of Their Competition Laws, 2014 O.J. (L 347) 3, <https://perma.cc/M9H2-YFKR>.

³⁴ KG, arts. 18-53a; *Competition Commission*, COMCO, <https://perma.cc/UTF7-B9D7>.

³⁵ KG, arts. 18, 19.

³⁶ Id. art. 49a.

³⁷ *Decisions*, COMCO, <https://perma.cc/HVL6-Q9DA>.

³⁸ *Press Releases*, COMCO, <https://perma.cc/TX5X-AEH4>.

³⁹ Press Release, COMCO, COMCO Investigation Against Pharma Suppliers (Sept. 19, 2019), <https://perma.cc/Z8SX-CXKJ>.

⁴⁰ Konkurrensverket, Digitala vårdtjänster dnr 288/2022, <https://perma.cc/3ED2-2ZJD>.

Capio S:t Görans Sjukhus AB, and Hjärtkärllgruppen I Sverige AB (and owners Globen Heart AB and Medical Support I Stockholm Aktiebolag) over an agreement the companies had made ahead of a procurement, alleging violation of European Union (EU) competition law.⁴¹ The Swedish Competition Authority argued that the agreement limited competition and that the parties were in agreement on the details of the procurement bids, requesting that the companies together pay a fine (*konkurrensskadeavgift*) of Swedish Krona (SEK) 41 million (about US\$3.9 million). In 2017, following appeal, the Patent and Market Appeals Court, acting as court of last instance, found that the agreement did not violate competition law rules.⁴²

As member of the European Union, Swedish competition and antitrust rules are regulated by EU law, specifically the Treaty on the Functioning of the European Union (TFEU) and Council Regulation (EC) No 1/2003 of 16 December 2002 on the implementation of the rules on competition laid down in the TFEU.⁴³ EU competition law is transposed into the Swedish Competition Act.⁴⁴

Enforcement of competition law violations in Sweden is carried out by the European Commission, the Swedish Competition Authority, and local courts.⁴⁵ The Swedish Competition Authority publishes and makes its decisions searchable on its website at <http://www.konkurrensverket.se/konkurrens/tillsyn-arenden-och-beslut/arendelista/>. The European Commission makes its decisions available online at https://ec.europa.eu/competition/elojade/isef/index.cfm?clear=1&policy_area_id=1%2C2%2C3.⁴⁶

⁴¹ Konkurrensverket, Stämningsansökan, 2013-06-28 Dnr 483/2013, <https://perma.cc/ZTB6-M2NL>.

⁴² Patent- och marknadsöverdomstolen, Dom PMT 7497-16, <https://perma.cc/JB4H-VGV3>.

⁴³ TFEU, articles 101-106, 2012 O.J. C326/47, <https://perma.cc/U4KE-D9RE> (consolidated); Regulation (EC) No. 1/2003, 2003 O.J. (L 1) 1, <https://perma.cc/59KD-B26B>.

⁴⁴ Konkurrenslag (SFS 2008:579), <https://perma.cc/UGQ2-YAUS>.

⁴⁵ Council Regulation (EC) No. 1/2003, arts. 4, 5, 6,

⁴⁶ For more on decisions by the European Commission, see the EU entry in this report.